



Moving Towards
A Greener Future

OUR VISION

ATTRACT AND RETAIN CUSTOMERS FOR LIFE

OUR MISSION

ALWAYS THERE TO SERVE YOU BETTER

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	2018 Rs.' 000	2017 Rs.' 000
Turnover	3,492,566	4,028,610
Profit / (Loss) Before Tax	91,939	80,639
Net Profit / (Loss) After Tax	43,700	55,400
Market Capitalization	430,820	450,751
As at 31st March		
Total Assets	2,592,991	2,480,250
Shareholder's Funds	1,179,264	840,259
Retained Earnings	680,521	651,426
Current Ratio (Current Assets: Current Liabilities)	1.23 : 1	1.14: 1
Employment (No of Employees)	960	1,039
Per Share		
Earnings/(Loss) (Rs.)	8.55	10.84
Net Assets (Rs.)	230.75	164.42
Market Value (Rs.)	84.30	88.20

Financial Calender

1 st Quarter Results 2017 / 2018	11 th August 2017
Annual Report 2016 / 2017	15 th August 2017
35 th Annual General Meeting	15 th September 2017
2 nd Quarter Results 2017 / 2018	15 th November 2017
3 rd Quarter Results 2017 / 2018	14 th February 2018
4 th Quarter Results 2017 / 2018	06 th April 2018
36 th Annual General Meeting	20 th September 2018

On behalf of the Directors, I warmly welcome Shareholders to the 36th Annual General Meeting of Abans Electricals PLC and have a pleasure in presenting the Annual Report and Financial Statements of the Company for the period of 2017/2018.

Abans Electricals PLC is one of the leading suppliers in the refrigerator and washing machine markets in Sri Lanka. We live up to the expectations of a responsible organization by contributing to the improvement in the quality of life of our customers through outstanding products and services. We maintained its dominant market position by understanding and effectively responding to the emerging customer needs through innovative product solutions. We continued to drive efforts towards enhancing the energy efficiency of our operations, minimizing waste and reducing our overall carbon footprint. Due to the erratic weather conditions, the agricultural sector had a direct impact on the demand for our products. These unpredictable weather patterns, natural disasters and rising temperature levels continue to impact the country's agriculture sector and rural economy. Further, Interest rates climbed sharply and the exchange rates also increased during the year as the rupee depreciated against the US Dollar.

During the year 2017/2018, we focused on implementing cost efficiencies and process improvements to the manufacturing process. It is the belief that has driven us to continually upgrade our manufacturing facilities and deploy the most innovative techniques in the production of our Refrigerators and Washing Machines. Our strategic investment to upgrade our manufacturing technology will be the platform that will drive the growth of the Company. The Company also continued to invest in enhancing the capacity and efficiency of its manufacturing plant during the year. Higher production capacity is expected depending on the demand in the market place. We have strengthened our capacity to ensure that we deliver on our strategic goals, building a strong foundation for creating a long term value to shareholders. Despite the challenges presented by the operating landscape, we continued to invest in innovative solutions. Moreover, we successfully launched the Single Door Direct Cool Refrigerator and the Double Door No Frost Refrigerator by focusing on largely middle and lower end market during the year.

In the Washing Machine production, while overall production capacity increased and largely contributed from the Fully Automatic Washing Machine, the Semi-Automatic Washing Machine model introduced to the market in the previous year and performed well as it was highly accepted by the Consumers. Further transferring all panels and installation of Solar Power Systems from Abans PLC to Abans Electricals PLC is in order to be more efficient from 01st April 2018 onwards.

I am pleased to state that Abans Electricals experienced a good turnover during 2017/2018. This was due to fact that we made the decision not to raise the fees of our varied service offerings for Abans consumers. Further, the company continued to heavily invest in fixed deposits and do not rely on bank loans to cover any running costs. However, since Sri Lanka's current economic crisis resulted in higher operational costs, our company underwent a slight decrease in profits as compared to the previous financial year.

Throughout the year under review, we have also succeeded in fulfilling the aim of providing our valued clients with high-quality, efficient after-sales services for the broad range of appliances and electronics purchased from Abans showrooms across the island.



The Board decided to strengthen the governance structures in place. New Directors with diverse skills, expertise and industry insights were appointed to the Board of Abans Electricals PLC. We welcomed to the Board, Mr. Kumar De Silva and Mr. Dinal Mario Rex Phillips who have joined as the Independent Non-Executive Directors during the year.

It is always during challenging times that greater efforts are required to keep the Company afloat. Thus, I wish to thank all our employees for their ardent commitment, strong loyalty, and unwavering support.

I would like to express my sincere gratitude to the Board of Directors for their contribution and commitment to the Company in its success. Further, I would like to thank all of our Shareholders for their continued support and confidence placed in the present governance too.


Aban Pestonjee
Chairperson

Board of Directors

Mrs. Aban Pestonjee – Chairperson

A resourceful and self - taught entrepreneur, Mrs. Pestonjee has come to exemplify the Abans' creed of "finding a need and fulfilling it". Her passion, drive and courage, especially as a South Asian woman in a then male dominated business world has inspired successive generations of Sri Lankan Business women and have won her the praise of many others. She continues in the role of Chairperson of Abans Group of Companies.

Mrs. Pestonjee has been awarded;
SAARC Women's Association - Sri Lanka Chapter – "Award of Excellence for Woman Achievers for Outstanding Achievement" – Year 2000.

"The Bronze Award" for the large Business Category by Women's Chamber of Industry & Commerce at the year 2000 Women Entrepreneurs of the Year Award Ceremony.

"KOTRA Plaque of Appreciation - 2005" for forging strategic foreign economic ties between Korea & Sri Lanka.

Culminating in 2006, she received international recognition for winning the leading women entrepreneur of the world award. Mrs. Pestonjee was awarded the prize by the princess of Thailand.



Mr. Behman. Pestonjee - Director

Marine Engineer Class 1 (D.O.T. London) A total dynamo, his creed of "conceived today, implemented with phone calls" has been a key contributor to the rapid success of this company.

He heads the marketing and Sales Divisions of the Company and liaises with the key principles of important institutions.

An inspiring leader for a talented and dedicated group of marketing and sales personnel, the results of Mr. Pestonjee's expertise are evident in the rapidly increasing turnover and brand recognition of the Abans name.



Mr. Athula Siriwardane - Director

He was proposed and appointed as a Director of Abans Electricals PLC on 28th September 2016.

He is a key person to attend meetings with the Ministry of Finance, Ministry of Industries and other relevant authorities with his long year experience and good relationship. He was able to expedite the clearance of imports, reduce expenses and on time delivery of final products with his experience with Abans Group, he will contribute to the company immensely as a strong leader and dedicated board member.



Board of Directors



Mrs. D. Priyanthi Pieris - Independent Non Executive Director

Appointed to the board in March 2009. She is an Attorney-at-Law of the Supreme Court of Sri Lanka and has over 33 years experience in Corporate and Financial Law. She is also a Solicitor of England & Wales. She is currently in Private Practice. She served on the Boards of Forbes & Walker Ltd., Forbes Ceylon Ltd., Forbes Stock Brokers Ltd, Forbes Air Services Ltd.(general sales agent for Emirates), Vanik Corporate Services Ltd., Office Network (Pvt) Ltd., Capital Reach (Holdings) Ltd. and Associated Motorway Ltd She currently serves on the Boards of Associated Electrical Corporation Ltd, Asia Asset Finance PLC, Lanka Orix Finance PLC, PW Corporate Secretarial (Pvt) Ltd., Asian Centre for Lease Education (Pvt) Ltd., MTN Corporate Consultants (Pvt) Ltd., Sithijaya Fund (Pvt) Ltd and as an Alternate Director on the Board of Asia Capital PLC. She served as the legal Adviser to the Ministry of Finance from 2002 - 2004 and as Legal Consultant to the Colombo Stock Exchange from 2004 - 2011. She is also a member of the Committees set up by the SEC to recommend amendments to the Takeovers & Mergers Code 1995 (as amended) and the Rule for Corporate Governance.



Mr. Dinal Mario Rex Phillips - Independent Non Executive Director

Appointed to the board in February 2018. He is a specialist in the field of Intellectual Property, Commercial Arbitration, Company Law Litigation, Sports Law and a regular Practitioner in the Commercial High Court which was established purely for Commercial Law Disputes. In addition to that, he engages in Injunctions, Bank Recovery Issues, Insurance Claims, Family and Labour Law too. Possessing more than 30 years of experience in the field of Law, he is holding Board Memberships in NDB Bank PLC and Gestetner of Ceylon Ltd. And he was a member of the National Intellectual Property Advisory Commission for 12 years and he had been elected as the Chairman two times.



Mr. Kumar De Silva - Independent Non-Executive Director

Appointed to the board in February 2018. Possessing over 30 years of experience in the field of management, he is an associate member of the Chartered Institute of Marketing, United Kingdom, a member of Sri Lanka Institute of Marketing and he holds a Diploma in Marketing in the Chartered Institute of Marketing, United Kingdom. Further, Mr. Silva is a fellow member of the Chartered Institute of Management Accountants, United Kingdom, member of the Institute of Global Chartered Management Accountants, United Kingdom and the member of the Chartered Institute of Logistics and Transport, United Kingdom. In addition he is the chairman of Sri Lanka Convention Bureau under the Ministry of Tourism Sri Lanka.

The Directors of Abans Electricals PLC have pleasure in presenting their Report and Audited Accounts for the year ended 31st March 2018 at the Thirty Sixth Annual General Meeting.

Financial Review

Principal Activities

The Principal activities of the Company are manufacturing and assembling of household electric and electronic appliances and providing repair and maintenance services for the same under two departments.

(a) Manufacturing Department

This Department was set up primarily for the manufacturing and assembling of household electric and electronic appliance in collaboration with internationally recognized brand names.

It engages in the assembling and manufacturing of Washing Machines, Refrigerators, Air Conditioners, Cookers & Solar PV systems Installations.

(b) Service Department

This Department handles the installation, repair, maintenance and after sales services of electrical and household appliances sold by Abans Group.

Review of Operations

The Chairperson's Statement on Page No. 3 in this Report contains a detailed review of the operations which forms an integral part of the Directors Report.

Summarised Financial Position

	2017/2018 Rs.'000	2016/2017 Rs.'000
Profit/(Loss) Before Tax	91,939	80,639
Income Tax Saving/ (Expense)	(48,237)	(25,239)
Profit/(Loss) After Tax	43,700	55,400
Profit Available for Appropriation	680,521	651,427
Ordinary Dividend Per Share	2.00	3.00

Risk Management

The Board evaluates and takes action to mitigate the foreseeable risks on essential grounds. The mitigation process concentrates on product diversification, market segmentation, bringing new innovations and productivity improvement.

A brief discussion on Enterprise Risk Management is given on Page No 47 & 48 of the Annual Report.

Capital Expenditure

The total expenditure on acquisition of Property, Plant and Equipment during the year amounted to Rs.83,615,672/- and detail of the status and movements of Property Plant and Equipment during the year are given in Note No. 12 to the Financial Statements.

Land and Buildings

Location, extent, no of buildings and present market values of the land and buildings.

Land Location	No. of Building	Perches	Market Value Rs.
Wellawatte	1	41.12	308,720,000
Ratmalana	3	95.21	202,900,000
Kandy	1	18.70	73,299,500
Boralesgamuwa	-	83.10	58,170,000
Negombo	1	31.10	38,320,000
Galle	1	13.24	77,789,000
Panadura	-	44.80	20,160,000

Donations

Donations made during the year is Rs.65,523/- (Rs. 675,988/-, 2016/2017)

Employees

As at the Balance Sheet date 960 persons were employed by the Company (1039 persons - 2017). The total cost of employee benefits for the year was Rs. 575.79 Million. (Rs. 963.80 Million - 2016/2017). There were no employee related issues to be disclosed.

Events Subsequent to the Balance Sheet Date

There had not been any circumstances since the Balance Sheet date, which would require adjustments to or disclosure in the Accounts other than those disclosed in Note No. 33 to the Financial Statements.

Statutory Payments

The Directors, to the best of their knowledge are satisfied that all statutory payments due to employees and the Government have been made up to date.

Dividends

The directors recommended a final dividend of Rs. 2.00 per share for the financial year ended 31st March 2018.

Future Outlook

Looking forward to the future with optimism, the company is anticipated to go forward with potential manufacturing projects while having minimum external borrowings.

Directorate and Shareholdings

The Board of Directors Comprising of Mrs. Aban Pestonjee (Chairperson), Mr. Behman Pestonjee, Mr. Athula Siriwardane, Mrs. Dayangani Priyanthi Peiris held office throughout the year ended 31st March 2018.

Mr. Kumar De Silva and Mr. Dinal Phillips have been appointed with effect from 15th February 2018 and held office from that date.

The Directors retiring in rotation in terms of the Articles of Association are Mr. Behman Pestonjee, Mrs. D. P. Pieris, Mr. Kumara De Silva, Mr. Dinal Phillips-being eligible, they offer themselves for re-election and the Directors have much pleasure in recommending their re-election.

Name	Beginning of the Year No.of Shares	End of the Year No.of Shares
Mrs. A. Pestonjee	293,438	293,438
Mr. B. Pestonjee	30	30
Frist Capital Markets Ltd/Mr. B Pestonjee	90	90
Mr. A. Raffel	5,040	5,040
Mr. C. A. Fernando	1,223	1,223
Prof. Lakshman R. Watawala	-	-
Mrs. Dayangani Priyanthi Peiris	-	-
Mr. Athula Siriwardane	-	-
Mr. Kumar De Silva	-	-
Mr. Dinal Phillips	-	-

* Mr. Clive Fernando has resigned with effect from 20th February 2018.

* Mr. Allen Raffel has resigned with effect from 15th February 2018.

* Pr. Lakshman R. Watawala has resigned with effect from 31st December 2017.

Directors' Interests

The Directors' Interest in Contracts of the Company are included in Note No. 31 to the Financial Statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct or indirect interest in any other contract or proposed contract of the Company. The Company is in compliance with Rule.09 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions, during the financial year.

Auditors

To appoint M/s. SJMS Associates, Chartered Accountants as the Auditors of the Company and to hold office until the conclusion of the next Annual General Meeting.

Reports to the Public

The Company publishes its quarterly Financial Statements and Annual Report, enabling Stakeholders and public to make a fair appraisal of performance.

By Order of the Board,

Sgd

Varners International (Private) Limited

Secretaries

Colombo

The Board*** Composition and Balance**

The Board consists of Six Directors including three independent Non - Executive Directors. The brief profiles of the Board members are given in Page No. 4 and 5 to the Annual Report

*** Responsibility**

The Members of the Board are collectively and individually responsible to comply with laws of the Democratic Socialist Republic of Sri Lanka and to implement business strategies, internal controls, risk management, corporate decisions, financial reporting and other imperative issues as necessary.

Directors bring individual and collective judgments and also consider internal and external professional consultancy for matters relating to corporate issues, strategies, performance, setting up standards, managing and safeguarding resources.

*** Chairperson and the Chief Executive Officer (CEO)**

The Chairperson is responsible for leading the Board and the ultimate point of contact for Shareholders, particularly on matters relating to Corporate Governance.

A CEO and an individual director are assigned to control and separately report to the Board under two divisions, Manufacturing department and Service department respectively.

*** Appointments / Re-Election**

The Board as a whole represents the Nomination Committee and decides on the selection criteria and appointments to the Board. Evaluation criteria are set based on the goals and objectives of the company and suitable and capable persons who can contribute to the Company are selected.

Procedure in the Articles of Association is mandatory for the retirement and re-election of Directors.

*** Directors' Remuneration**

With the recommendations of the Remuneration Committee, the Company has established a formal and transparent policy to determine remuneration packages for each Director to attract, motivate and retain.

The remuneration and other benefits of the Board of Directors are set out in Note No. 31 to the Financial Statements.

*** Appraisal of Board**

The Board itself headed by the Chairperson evaluates performance giving due regard to the external and internal environment to measure the degree of success or the failures of achieving goals and objectives set upon Board members, individually and collectively.

*** Financial Acumen**

A Member representing a recognized professional accounting body served on the Board as an Independent Non-Executive Director and was involved in matters relating to finance. External consultants were retained whenever necessary.

*** Audit Committee**

The Audit Committee has written terms of reference which are established for the purpose of assisting the Board in fulfilling their responsibilities connected to the integrity of the Financial Statements, Risk Management, Internal Control, compliance with legal and regulatory requirements, review of External Auditor's performance and internal Audit functions. Report of the Audit Committee is given on Page No.11.

*** Remuneration Committee**

The objective of the Committee is to bring recommendations to the framework of the remuneration packages of the Directors in a formal and transparent manner. Report of the Remuneration Committee is given on Page No. 12.

*** Related Party Transactions Review Committee**

The objective of the Committee is to assist the Board in reviewing all related party transactions by adopting policies and procedures in accordance with requirements of the Code of Best Practice on Related Party Transactions issued by the Colombo Stock Exchange.

*** Secretaries**

Varners International (Pvt) Ltd., act as the Company Secretaries, ensure the adherence to rules and regulations and handle Board proceedings minutes, agenda and papers required for the meetings.

*** Relation with Shareholders / Investors**

Directors have continuously recognized the importance of the role played by the Shareholders of the Company in assisting the Board of Directors for good Corporate Governance. In this regard, the Board of Directors ensures that the Shareholders have equal access to information and ensured the adequate disclosure of all material information of the Company.

* **Major Transactions**

There were no major transactions of material effect other than those which are disclosed in the Annual Report.

* **Financial Reporting**

The Company adhered to the financial reporting regulations under the Companies Act, listing rules of the Colombo Stock Exchange and the Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka.

The Audit Committee assists the Board in overseeing the financial reporting, system review and implementation of proper internal control systems.

The Board abides by the onus of responsibility of setting up an effective internal control system to safeguard the assets of the Company and to disseminate timely corporate information.

* **Business Conduct and Ethics**

The Company adheres to the code of business conduct and ethics jointly issued by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka for Corporate Governance. The business conduct ethics and Company Policies are set within the said governing rules and regulations to the best of the knowledge of the Directors.

* **Going Concern Concept**

The Board of Directors have continued to use the going concern concept in the Preparation of the Financial Statements and are of the view that the Company has adequate resources to continue its operations in the foreseeable future.

* **Meetings**

Name of the Director	BOARD MEETINGS		AUDIT COMMITTEE MEETINGS		RELATED PARTY TRANSACTIONS REVIEW COMMITTEE MEETINGS		REMUNERATION COMMITTEE MEETINGS
	Eligible to Attend	Attended	Eligible to Attend	Attended	Eligible to Attend	Attended	Attended
Mrs. Aban Pestonjee	4	NIL	N/A	N/A	N/A	N/A	N/A
Mr. Behman Pestonjee	4	3	N/A	N/A	2	1	N/A
Mr. C. Fernando*	3	3	N/A	N/A	3	3	02
Mr. Allen Raffel**	3	3	N/A	N/A	1	1	02
Prof. L.R. Watawala***	3	3	3	3	3	2	02
Mrs. Priyanthi Pieris	4	3	4	3	4	4	N/A
Mr. Athula Siriwardena	4	4	N/A	N/A	N/A	N/A	N/A
Kumar Se Silva****	1	1	1	1	1	1	-
D M R Phillips****	1	1	1	1	N/A	N/A	-

* Mr. Clive Fernando has resigned w.e.f 20th February 2018.

** Mr. Allen Raffel has resigned w.e.f 15th February 2018.

*** Prof. L. R. Watawala has resigned w.e.f 31st December 2017.

**** Both Mr. Kumar De Silva & Mr. D. M. R. Phillips have been appointed w.e.f 15th February 2018.

Varners Internaional (Pvt) Ltd., has been appointed as secretaries of Remuneration Committee w. e. f. 23rd March 2018.

Compliance with Corporate Governance

The Board of Directors comply with the rules of Corporate Governance

Rule	Subject	Compliance
7.10.1	Non-Executive Directors	
	a. No of Non-Executive Directors	Three Non-Executive Directors out of Six Directors
7.10.2	Independent Directors	
	a. No of Independent Non-Executive Directors	Three Independent Directors out of Six total Directors
	b. Declaration of Independency	Complied
7.10.3	Directors Disclosure	
	a. Determination of independency of Non-Executive Directors	Complied
	b. Names of Independent Non-Executive Directors	Refer Page No. 5
	c. Brief resume of each Director	Refer Page No. 4 - 5
	d. Disseminate resume of new Directors	Complied
7.10.4	Independency of Non-Executive Directors	Complied
7.10.5	Remuneration Committee	
	a. Composition	Refer Page No. 12
	b. Functions	Complied
	c. Members name of the Remuneration Committee	Refer Page No. 12
	Statement of Remuneration Policy	Refer Page No. 12
	Remuneration paid to Executive and Non-Executive Directors	Refer Note No. 31
7.10.6	Audit Committee	
	a. Composition	Refer Page No. 11
	b. Functions	Complied
	c. Name of committee members	Refer Page No. 11
	Determining of Independency of Auditors	Complied
	Audit Committee Report	Refer Page No. 11
7.10.7	Intercompany Transactions Review Committee	
	a. Composition	Refer Page No. 13
	b. Functions	Complied
	c. Name of the committee members	Refer Page No. 13
	d. Related Party Transactions Review Committee Report	Refer Page No. 13

Role of the Committee

The function of the committee is to assist the board in fulfilling its responsibilities, overseeing the management conduct of the company's internal accounting, financial controls and the financial reporting process. Monitoring the independence and performance of the external auditors facilitating open communication between the external auditors, management and the board.

The Audit Committee is empowered to examine any matters relating to the financial affairs of the company, review adequacy of internal controls, procedures, and audit programs consistent with audit plan including the disclosure of accounting policies, statutory compliance and corporate governance requirements amongst other functions.

The Audit Committee is empowered to review and monitor the financial reporting process and provide added reliability and assurance on the financial statements through an independent and objective review. The Audit Committee as a forum assist the Board of Directors in discharging their responsibilities to ensure the quality of financial reporting and information to the shareholders and the public.

Composition of the Committee and Meetings

The Audit Committee consist of Three Independent Non-Executive Directors, Mr. Kumar De Silva, Chairman, Mrs. Priyanthi D Peiris, Mr. D. M. R. Phillips and M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee. The Audit committee held four meetings during the year attended by other Directors, Managers, Compliance Officers, and External Auditor Consultants attended the meeting by invitation. The Chief Internal Auditor coordinated the matters at all meetings.

The activities and views of the committee have been communicated to the board of Directors quarterly through verbal briefing, and by tabling the minutes of the Committee's Meeting.

Financial Reporting

The Audit Committee reviewed and discussed the Company's Quarterly and Annual Financial Statements prior to the publication with management in compliance with the Sri Lanka Accounting Standards, Companies Act no 7 of 2007, and Securities Exchange Commission regulatory and other statutory requirements. The Financial Statements have been presented in compliance with the new Sri Lanka Accounting Standards (SLFRS/LKAS) for the financial period including the comparative financial statements.

The Audit Committee objectively worked to ensure the safeguard the best interest of the stakeholders.

Internal Controls

The committee reviewed the effectiveness and adequacy of internal controls, systems and the company's outlook to the exposure of business and financial risks. In the preparation and presentation of financial statements the committee ensured that the financial reporting system can be depended on, with processes in place to safeguard the assets of the organization.

The committee provided advice and guidance to the board to mitigate risk associated with new Free Trade Agreements and consequent tariff changes, shift in market share with new entrants and the need for product diversification along with exposure to exchange and interest rate fluctuations and the associated business risk to the company. The debtor and creditor policies, cash and working capital adequacy were reviewed as an integral part of the financial risk committee.

Internal Audit and Risk Management

The Internal Auditor presented at all audit committee deliberations a summary of audit reports in the revised format covering each major business unit of the company. The summary audit report were presented along with the internal audit investigation and findings made by the department for the period under review.

External Auditors

The Audit Report and the management letter issued by the External Auditor were reviewed and assessed as to the material impact so as to represent a true and fair view of the financial statements. The Audit Committee recommends to the Board Of Directors M/S SJMS Associates to be reappointed as Auditor for the financial year ending 31st March 2018 subject to the approval of the Shareholders at the Annual General Meeting.

Conclusion

The Evaluation of Reports are based on independent judgement and the committee is satisfied about the operation of the business activities, actions in place, control procedures, reporting requirements, safeguarding of the company assets and financial reporting of the company.

Kumar De Silva

Chairman-Audit Committee

Composition

The Remuneration Committee appointed responsible to the Board of Directors, comprise of two Independent Non-Executive Directors. The Committee is headed by the Chairman Prof. L. R. Wattawala upto 31st December 2017. Then Mr. Kumar De Silva was appointed as the Chairman w. e. f. 15th February 2018 upon the resignation of Prof. L. R. Wattawala. Mr. D. M. R. Phillips serve as a Committee member.

Policy

The remuneration policy of the Abans Electricals PLC is designed to attract, motivate and retain staff with appropriate professional, managerial and operational expertise to achieve the goals and objectives of the Company.

Scope

The principal responsibility of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organization which includes performance based incentives. The Committee will specifically focus on the remuneration packages for Executive Staff and Senior Management. Such a system is based upon every member of the staff, being informed of the key result areas on which he/she will be judged together with an objective performance evaluation system.

Meetings

During the financial year under review, the Committee held two meetings. At these meetings, the staff performance appraisal system and its procedures, the performance bonus and its quantum, remuneration and other benefits of Executive and Senior Management were discussed and their recommendations were submitted to the Board.

Conclusion

The Committee assessment on the present Directors remuneration is fair and reasonable.

Kumar De Silva

Chairman - Remuneration Committee

Policies and Procedures

The Company has in place a Related Party Transactions Policy whereby the categories of persons/entities who shall be considered as "Related Parties" have been identified.

Purpose of the Committee

The purpose of the Committee is to conduct an Independent review, approval and oversight of all related party transactions of Abans Electricals PLC and to ensure that the Company complies with the Listing Rules pertaining to related party transactions. Its Primary Objectives are to ensure that the interest of the shareholders as a whole are taken in to account when entering in to related party transactions, and to prevent Directors, Key Management Personal or Substantial Shareholders from taking advantage of their positions.

Compositions of the Committee

During the year under review, the Related Party Transactions Review Committee comprised of the following Directors:

- Mrs. Priyanthi Pieris - Independent Non-Executive Director / Chairperson
- Mr. L Watawala - Independent Non-Executive Director (resigned with effect from 31st December 2017).
- Mr. Clive Fernando - Executive Director (Resigned with effect from 20th February 2018)
- Mr. Kumar De Silva - Independent Non-Executive Director (Appointed with effect from 15th February, 2018).
- Mr. Behman Pestonjee - Executive Director (Appointed with effect from 15th February, 2018).

Varners International (Private) Limited the Company Secretaries functioned as the Secretaries to the Committee.

Meetings

The related party transactions Committee Meetings were held four (04) times during the year under review.

The attendance by the members at the meetings of the Related Party Transactions Review Committee were as follows;

- Mrs. Priyanthi Pieris - 4/4
- Mr. L Watawala - 3/4 (Due to his resignation on 31st December 2017)
- Mr. Clive Fernando - 3/4 (Due to his resignation on 20th February 2018).
- Mr. Kumar De Silva - 1/4 (Due to his appointment 15th February 2018)
- Mr. Behman Pestonjee - 1/4 (Due to his appointment 15th February 2018)

Review of Related Party Transactions

The Committee at their meetings, reviewed possible related party transactions for the year 2017/2018.

It was observed that related party transactions entered during the year which were of a recurrent, nature and necessary for the day-to-day operations of the Company, were in the opinion of the Committee, not on terms more favourable to the related party than those generally available to the public.

With respect to the Sale almost 100% of the items manufactured and assembled by the Company to Abans PLC, during the year, which were of a recurrent nature, and necessary for the day-to-day operations of the Company, it was noted that the whole sale price offered was adjusted, based on the negotiations between the two parties, taking in to account the arrangement between the parties whereby Abans PLC have guaranteed the purchase of 100% of the products manufactured and assembled by the Company, and the deposit of Abans PLC held by the Company.

The Minutes of the Committee Meetings were documented and tabled at Board Meetings, for review by the Board.

Scope of the Committee Includes:

- To manage relationships with related parties to uphold good governance and the best interests of the Company
- To provide an independent review, approval and oversight of Related Party Transactions (except these expressly exempted by the Rules)
- To determine whether Related Party Transactions that is to be entered in to by the Company require the approval of the Board or Shareholders of the Company.
- The establish guidelines in respect of Recurrent Related Party Transactions, for senior management to follow in its ongoing dealings with the relevant related party.
- To ensure that no Director of the Company shall participate in any discussion of a proposed Related Party Transaction for which he or she is a related party, unless such Director is requested to do so by the Committee for the express purpose of providing information concerning the Related Party Transaction to the Committee.
- To ensure that immediate market, disclosure and disclosure in the Annual report as required by the Rules are made in a timely and detailed manner.

Declaration

A declaration by the Board of Directors on compliance with the Rules pertaining to related party transactions appears on this report of the Board of Directors on page no 08 of this Annual report.

Mrs. Priyanthi Pieris

Chairperson - Related Party Transactions Review Committee

The responsibility of the Directors in relation to the Financial Statements is set out in the following statement.

The Directors are responsible, under Sections 150 (1), 151 (1), 166[1], 167 [1] and 168 [1] of the Companies Act No. 7 of 2007 to prepare Financial Statements and the Annual Report for each financial year and place before the Annual General Meeting of the Members.

Financial Statements for the year ended 31st March 2018 presented in this report are in conformity with Sri Lanka Accounting Standards (SLFRS / LKAS), Companies Act No.7 of 2007 and listing rules of the Colombo Stock Exchange.

Directors are also of the view that in preparing these Financial Statements, appropriate Accounting Policies have been selected and applied consistently, where necessary reasonable and prudent judgment and estimates have been made in line with Accounting Standards.

Directors are also responsible, under Section 148 to keep proper records and to take reasonable steps as far as practicable to ensure the accuracy and reliability of accounting records to enable the preparation of Financial Statements and to disclose with reasonable accuracy, the financial position of the Company.

The Directors have a general responsibility to take reasonable steps to safeguard the assets of the Company. In discharging this responsibility the directors have instituted a system of internal controls and a system for monitoring its effectiveness. The systems of controls provide reasonable and not absolute assurance of safeguarding the Company's assets, maintenance of proper accounting records and the reliability of financial information.

Directors confirm that to the best of their knowledge all taxes and duties payable on behalf of and in respect of the employees of the Company and all other known statutory dues, as at Balance Sheet date have been paid or provided.

The Directors are of the opinion that the Company has adequate resources to continue in operation and due to this have concluded that the going concern basis in preparing the Financial Statement is appropriate.

By Order of the Board

Sgd ,

Varners International (Private) Limited.

Secretaries

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Report On the Audit of the Financial Statements

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company"), which comprise the statement of financial position as at 31st March 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st March 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

1. Revenue recognition

The company's revenue is Rs3.49 billion (2017: Rs4.03 billion) and company has number of revenue streams. The details of accounting policies applied during the year are given in note 4.1 to the financial statements.

We continue to assess revenue recognition as an area of audit risk which has a significant effect on our audit strategy and our allocation of resources.

Also the revenue from solar projects from the customers of the Company is reported using the percent age of completion method. This requires significant management judgment and estimates such as assessment of costs incurred over total cost of the project process to identify the stage of completion and the process for identification of loss making contracts, which gives rise to a risk of incorrect recognition of revenue in a particular period. Accounting policies for revenue recognition and the judgments used by the management are given in note 4.1.2, to the financial statements.

Considering the above revenue recognition from installing and commissioning of solar power projects is determined as a key audit matter.

2. Revaluation of Property, plant and equipment

During the year Company has changed their accounting policies to value their property, plant and equipment as per the revaluation model, from cost model which was used previously. As at 31st March 2018, the Company's property, plant and equipment were revalued and the surplus over the cost was credited to equity which amounted to Rs 309,911,359.

The valuation of the properties is an important matter as it requires exercising significant estimates and judgment since the existence of differences in the valuation of each property would result in material misstatements also by considering the significance of the values hence this requires audit focus. The Company has hired an independent valuer who has the relevant license, and who has the qualifications and experience required to perform valuations in the market. For the purpose of estimating the fair value of property, plant and equipment, the valuer used different valuation methods and techniques which included market comparable method.

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

How our audit addressed the key audit matters

1. Revenue recognition – Percentage of completion

We performed detailed testing on a sample of sales transactions across the year and across each significant revenue stream tracing from origination through to the general ledger to ensure that the revenue was appropriately recorded and to address the risk assessed.

Our audit procedures among other, included assessing the appropriateness of the Company's revenue recognition policies, evaluating management's assumptions in the determination of estimated costs to complete a project, the percentage of completion of a project, and provisions for future losses for loss making projects. We assessed the significant judgments made by the management in this regard.

In addition we performed test of details. We also performed, on a sample basis, substantive audit procedures relating to the contractual terms and conditions and the appropriate accounting thereof. We assessed revenue recognition taking place before and after year-end to evaluate whether revenues were recognised in the appropriate period. Additionally, we have assessed the appropriateness of disclosures made in the financial statements.

2. Revaluation of Property, plant and equipment

In the course of our audit, we evaluated the competency and independency of the valuer and assessed the appropriateness of valuation methods and approaches and the input used for this purpose. We have also deployed our internal expert to review the reasonableness of the valuations.

With the assistance of our internal expert, we challenged the external valuer's assumptions and evaluated the extent to which the movement in valuation were consistent with our industry knowledge and the comparable market transactions. We have checked that the values have been correctly recorded in the financial statement and appropriate disclosures have been made.

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not, express any form of assurance, conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such an internal control, as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud that is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as it far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this Independent Auditor's Report is 2347.



SJMS ASSOCIATES
Chartered Accountants
Colombo
26th July 2018

Statement of Comprehensive Income
For the Year Ended 31st March 2018

		2017/2018 Rs.	2016/2017 Rs.
Revenue	5	3,492,566,499	4,028,609,620
Cost of sales		(3,099,721,387)	(3,594,592,900)
Gross profit		392,845,112	434,016,720
Other income	6	72,325,131	63,610,069
Distribution cost		(73,092,867)	(86,720,904)
Administrative expenses		(237,721,372)	(250,968,753)
Finance and other expenses	7	(62,417,421)	(79,297,777)
Profit before tax	8	91,938,583	80,639,354
Income tax expenses	9	(48,237,812)	(25,238,967)
Profit for the year		43,700,771	55,400,388
Other Comprehensive Income/(expense)			
Items that will not be reclassified subsequently to comprehensive income;			
Re-measurement of defined benefit obligation		725,651	22,216,768
Gain on Revaluation of property, plant and equipment		309,911,359	-
Other comprehensive income for the year (net of tax)		310,637,010	22,216,768
Total comprehensive income for the year		354,337,781	77,617,155
Earnings per share - Basic/ Diluted	10	8.55	10.84
Dividends per share	11	2.00	3.00

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Statement of Financial Position

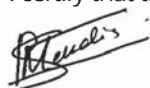
For the Year Ended 31st March 2018

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Abans Electricals PLC
Annual Report 2017/2018

	Notes	31.03.2018 Rs.	31.03.2017 Rs.
Non Current Assets			
Property, plant and equipment	12	966,036,699	608,223,878
Investment property	12.2	20,160,000	-
Intangible assets	13	97,695	7,463
Investments in subsidiary	14	11,454,000	11,454,000
Loans and receivables	15	170,567,277	136,124,319
Total Non-Current Assets		1,168,315,670	755,809,660
Current Assets			
Inventories	16	594,123,935	648,856,296
Trade and other receivables	17	142,590,713	144,199,197
Deposits, advances and prepayments	18	48,326,068	38,813,976
Amounts due from related parties	19	566,026,454	861,336,261
Cash at bank and in hand	20	73,608,395	31,234,475
Total Current Assets		1,424,675,564	1,724,440,205
Total Assets		2,592,991,234	2,480,249,865
Capital and Reserves			
Stated capital	21	186,732,000	186,732,000
Capital reserves		2,100,000	2,100,000
Revaluation Reserve	21.1	309,911,359	-
Retained earnings		680,521,344	651,426,602
Total Equity		1,179,264,703	840,258,602
Non Current Liabilities			
Borrowings	22.1	2,693,825	10,500,000
Retirement benefit obligation	23	86,367,422	79,241,652
Deferred tax liability	25	163,405,636	42,323,497
Total Non Current Liabilities		252,466,882	132,065,149
Current Liabilities			
Trade and other payables	26	510,594,000	652,943,599
Income tax payable	27	25,352,700	5,270,077
Deferred service income	28	82,938,277	51,651,365
Amounts due to related parties	29	132,028,288	85,332,858
Borrowings	22.2	410,346,385	712,728,215
Total Current Liabilities		1,161,259,650	1,507,926,114
Total Liabilities		1,413,726,532	1,639,991,263
Total Equity and Liabilities		2,592,991,234	2,480,249,865

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



Head of Finance - (Manufacturing Department)

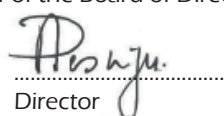


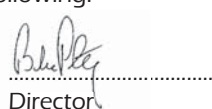
Head of Finance - (Service Department)

The Board of Directors are responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board of Directors by the following.

Date : 26-07-2018
Colombo


Director


Director

The accounting policies and notes from 01 to 37 form an integral part of these Financial Statements.

Statement of Changes In Equity

For the Year Ended 31st March 2018

	Stated Capital Rs.	Capital Reserves Rs.	Revaluation Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 st April 2016	186,732,000	2,100,000	-	589,141,128	777,973,128
Net profit for the year	-	-	-	55,400,388	55,400,388
Other comprehensive income	-	-	-	22,216,768	22,216,768
Final dividend 2015/2016	-	-	-	(15,331,680)	(15,331,680)
Balance as at 31 st March 2017	<u>186,732,000</u>	<u>2,100,000</u>	<u>-</u>	<u>651,426,602</u>	<u>840,258,602</u>
Net profit for the year	-	-	-	43,700,771	43,700,771
Other comprehensive income	-	-	309,911,359	725,651	310,637,010
Final dividend 2016/2017	-	-	-	(15,331,680)	(15,331,680)
Balance as at 31 st March 2018	<u>186,732,000</u>	<u>2,100,000</u>	<u>309,911,359</u>	<u>680,521,344</u>	<u>1,179,264,703</u>

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Cash Flow Statement

For the Year Ended 31st March 2018

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Abans Electricals PLC
Annual Report 2017/2018

	2017/2018 Rs.	2016/2017 Rs.
Net profit before interest and taxation	154,356,004	159,937,131
Adjusted for:		
Actuarial gain/loss on defined benefit plan	1,007,848	30,856,622
Profit from sale of property, plant & equipment	(15,130,277)	(1,811,084)
Depreciation and amortisation	66,481,647	72,383,181
Defined benefit plan costs	19,006,456	(9,598,611)
Interest income	(17,097,399)	(13,110,777)
Bad debts provision	6,047,458	2,165,465
Provision for obsolete stock	8,263,891	4,388,244
Asset grant income	-	(2,153,651)
Deferred income	(83,908,378)	(57,320,250)
Cash flows from operating activities before working capital changes	139,027,251	185,736,269
(Increase)/decrease in trade and other receivables	(4,336,302)	(48,126,908)
(Increase)/decrease in deposits, advances and prepayments	(9,512,092)	(20,506,342)
(Increase)/decrease in inventories	46,468,469	(217,361,949)
(Increase)/decrease in amounts due from/to related companies -Net	341,902,473	(72,793,474)
Increase/(decrease) in trade and other payables	(314,410,957)	274,667,138
	199,138,842	101,614,734
Tax paid	(26,414,516)	(51,180,348)
Interest paid	(59,940,335)	(74,585,054)
Gratuity paid	(11,880,684)	(13,049,871)
Net cash flows from/(used in) operating activities	100,903,307	(37,200,538)
Investing activities		
Interest income received	17,097,399	13,110,777
Purchase of property, plant and equipment	(83,712,586)	(107,722,424)
Proceeds from disposal of property, plant & equipment	84,730,687	1,813,184
Investment net in fixed deposits	(34,442,957)	(16,216,893)
Net cash flows used in investing activities	(16,327,458)	(109,015,355)
Financing activities		
Dividend paid	(15,331,680)	(15,331,680)
Repayment of loans (Net)	(13,719,475)	134,206,628
Net cash flows (used in) / from financing activities	(29,051,155)	118,874,948
Net increase/(decrease) in cash and cash equivalents	55,524,693	(27,340,945)
Cash and cash equivalents at the beginning of the year	3,725,980	31,066,925
Cash and cash equivalents at the end of the year	59,250,673	3,725,981
Cash and cash equivalents at the beginning of the year		
Cash in hand and cash at bank	31,234,475	32,882,564
Bank overdraft	(27,508,494)	(1,815,639)
	3,725,981	31,066,925
Cash and cash equivalents at the end of the year		
Cash in hand and cash at bank (Note 20)	73,608,395	31,234,475
Bank overdraft (Note 22.4)	(14,357,722)	(27,508,494)
	59,250,673	3,725,981

The accounting policies and notes from 01 to 37 form an integral part of these Financial Statements.

1. CORPORATE INFORMATION**1.1. General**

Abans Electricals PLC is a public limited liability company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the company is located at No. 498, Galle Road, Colombo 3 and the principal places of business are situated at No. 126, Airport Road, Ratmalana, and No 506B Galle Road, Colombo 06.

1.2. Principal activities and nature of operations

The principal activities of the company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances.

1.3. Parent entity

The company's parent entity is Abans PLC.

1.4. Date of authorization for issue

The financial statements of the company for the year ended 31st March 2018 were authorized for issue under a resolution of the Board of Directors on 26th July 2018.

2. Basis of preparation**2.1. Statement of compliance**

The financial statements of the company (statement of financial position, statement of comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) are prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2. Basis of measurement

The financial statements have been prepared on historical cost basis, except the defined benefit obligation, which is recognized at its present value. Property Plant & Equipment and Investment Property carried at Fair Value.

2.3. Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.4. Comparative information

Certain reclassifications have been made to the prior year's financial statements to enhance the comparability with the current year's financial statements. This reclassification do not have any impact on the reported total assets, total equity and total comprehensive income.

2.5. Materiality & aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The company is subject to income taxes and other taxes including value added taxation, Excise duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the financial statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment

The company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Fair value measurement of property, plant and equipment and investment properties

Property, plant and equipment and investment properties of the company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment properties are disclosed in note 12.

d) Going concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the financial statements continue to be prepared on the going concern basis.

e) Impairment losses on financial assets

The company assesses at each reporting date or more frequently to determine whether there is any objective evidence whether an impairment loss should be recorded in the statement of comprehensive income.

f) Deferred tax liability

Deferred tax liability are recognized for all deductible temporary differences. Significant management judgments are required to determine the amount of deferred tax liability that can be recognized, based on the likely timing and level of future taxable profits together with future tax planning strategies.

g) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

4. Summary of significant accounting policies

The significant accounting policies applied by the company in preparation of its financial statements are included below.

4.1. Revenue recognition**4.1.1. Sale of goods**

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes.

Revenue from the sale of goods is recognized when all the following conditions are satisfied:

- a) The company has transferred significant risks and rewards of ownership of the goods to the buyer.
- b) The company retaining, neither a continuing managerial involvement to the degree usually associated with ownership nor an effective control over the goods sold.
- c) The amount of revenue can be measured reliably and it is probable that the economic benefits associated with the transaction will flow to the entity; and
- d) The costs incurred or to be incurred in respect of the transaction can be measured reliably.

4.1.2. Rendering of Services

When the outcome of a transaction involving the rendering of services can be estimated reliably revenue associated with the transaction shall be recognized by reference to the stage of completion of the transaction at the end of the reporting period.

The outcome of a transaction can be estimated reliably when all the following conditions are satisfied;

- (a) The amount of revenue can be measured reliably.
- (b) It is probable that the economic benefits associated with the transaction will flow to the entity.
- (c) the stage of completion of the transaction at the end of the reporting period can be measured reliably; and
- (d) The costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

4.1.3 Interest Income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.4 Dividend income

Dividend income is recognised in the statement of comprehensive income on an accrual basis when the company's right to receive the dividend is established.

4.1.5 Deferred income

The service income of the company is recognized over the warranty period, since the company is obliged to provide service for the agreed warranty period.

4.1.6 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

Notes to Financial Statements

For the Year Ended 31st March 2018

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the Statement of Financial Position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at the reporting date.

4.4 Non-financial asset

4.4.1 Property, plant and equipment

Recognition and measurement

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost Model

The company applies the cost model to property plant and equipment except for free hold Land and building.

Revaluation model

The Entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition.

The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets.

Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement,

in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the income statement. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent cost

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rates of depreciations are based on the estimated useful lives.

Categories of assets	Useful life
Building and installation	Over 40 years
Plant and Machinery	Over 10 years
Furniture and Fittings	Over 10 years
Fixtures and Fittings	Over 10 years
Office equipment	Over 10 years
Tools	Over 10 years
On loan assets	Over 5 years
Motor vehicles	Over 4 years
Computer equipment	Over 4 years

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of comprehensive income in the year the asset is de-recognised.

Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation

or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (IKAS 40) – Investment Properties. The cost of the investment property comprises of its purchase price and any directly attributable expenditure.

4.4.2 Intangible assets – Computer software

Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the balance sheet under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent Expenditures

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An Intangible Asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.3 Impairment of non-financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset.

The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-in flows and the growth rate used for extrapolation purposes.

4.5 Leasehold property

Assets held under finance leases are initially recognised as assets of the company at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligations so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in statement of comprehensive income, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the company's general policy on borrowing costs.

4.6 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (first-in first-out) basis
Work-in-progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.7 Financial assets – recognition and measurement

4.7.1 Initial recognition

All financial assets are initially recognized on the trade date, i.e., the date that the company becomes a party to the contractual provisions of the instrument. This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time-frame generally established by regulation or convention in the market place.

4.7.2 Initial measurement

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value including transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

4.7.3 Subsequent measurement

The company subsequently measures non-derivative financial assets categorising them in to the categories of financial assets at fair value through profit or loss, held-to-maturity investments, loans and receivables and available-for-sale financial assets.

i. Financial assets at Fair Value Through Profit or Loss (FVTPL)

A financial asset is classified as fair value through profit or loss if it is held for trading or is designated at fair value through profit or loss.

ii. Held-to-maturity financial investments

Held-to-maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. Subsequent to initial measurement, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate (EIR), less impairment.

iii. Loans and receivables

Loans and receivables include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that the company, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration.

After initial measurement, loans and receivables are subsequently measured at amortised cost using the EIR method less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the statement of comprehensive income. The losses arising from impairment are recognised in the statement of comprehensive income in 'impairment gain/ (loss) on loans and receivables'.

iv. Available-for-sale financial assets

Available for sale financial assets are those which are neither classified as held for trading nor designated at fair value through profit or loss. The company has not designated any financial asset as available-for-sale.

After initial measurement, available - for - sale financial investments are measured at fair value. Unrealised gains and losses are recognised directly in equity (other comprehensive income) in the "available-for-sale reserve". When the asset is disposed of, the cumulative gain or loss previously recognized in equity is recognised in the statement of comprehensive income in other operating income.

4.7.4 Reclassification of financial assets

The company may re-classify non-derivative financial assets other than those designated at FVTPL upon initial recognition, in certain circumstances:

- out of the held-for-trading category and into the available for sale, loans and receivables, or held-to-maturity categories.
- out of the 'available-for-sale' category and into the 'loans and receivables', 'held for trading category' or 'held-to-maturity'. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a financial asset re-classified out of the 'available - for - sale' category, any previous gain or loss on that asset that has been recognized in equity is amortised to statement of comprehensive income over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the statement of comprehensive income.
- out of the 'held-for-trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is re-classified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase are recognized as an adjustment to the EIR from the date of the change in estimate.

Re-classification is at the election of the management, and is determined on an instrument by instrument basis.

4.7.5 De-recognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is de-recognised when:

- the rights to receive cash flows from the asset have expired.
- the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - the company has transferred substantially all the risks and rewards of the asset or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass – through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.7.6 Identification, measurement and assessment of impairment

At each reporting date the company assesses whether there is objective evidence that financial assets are not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

The company writes off loans and receivables when they are determined to be unrecoverable.

4.8 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.9 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.10 Retirement benefit obligations

4.10.1 Defined benefit plan – gratuity

The company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.10.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.11 Financial liabilities**4.11.1 Initial recognition and measurement**

The company classifies financial liabilities in to financial liabilities at Fair Value through Profit or loss (FVTPL) or other financial liabilities in accordance with the substance of the contractual arrangement and the definitions of financial liabilities.

The Company do not have any financial liabilities which carried at fair value.

The company recognizes financial liabilities in the statement of financial position when the company becomes a party to the contractual provisions of the financial liability.

i. Financial liability at FVTPL

Financial liabilities at FVTPL include financial liabilities held-for-trading or designated as such upon initial recognition. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in statement of comprehensive income.

Upon initial recognition, transaction costs are directly attributable to the acquisition are recognized in statement of comprehensive income as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

ii. Other financial liabilities

Other financial liabilities including deposits, debt issued by the company and the other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR.

4.11.2 De-recognition of financial liabilities

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in statement of comprehensive income.

4.12 Grant receipt

Grants received from Principle Supplier whose's primary condition is that to display their Logo in the company's service bus for first five years of period and that are recognized as deferred revenue in the statement of financial position and transferred to statement of comprehensive income on a systematic and rational basis over the useful lives of the related assets.

4.13 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.14 Deferred service income

Deferred Service Income consists of the income received in - advance for items under - warranty will be released to the income statement as revenue, when jobs are completed.

4.15 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7 - statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.16 Subsidiaries

Subsidiaries are entities controlled by the group. The group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of the subsidiary is included in the consolidated financial statement from the date on which control commences until the date on which control ceases. The investment in subsidiary is under winding up process.

4.17 Segmental information

For management purposes, the company has organized two operating segments based on products and services, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.18 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between Levels in the hierarchy by

re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

4.19 Effect of the accounting standard issued but not yet effective:

Standards issued but not yet effective up to the date of issuance of the company financial statements are listed below. This listing is of standards and interpretations issued, which the company reasonably expects to be applicable at a future date. The company intends to adopt those standards when they become effective.

(i) SLFRS 9 - Financial Instruments: Classification and Measurement

SLFRS 9, as issued reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities.

This standard was originally effective for annual periods commencing on or after 01st January 2018.

(ii) SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes. This standard is effective for the annual periods beginning on or after 01st January 2018.

Pending the detailed review of such standards and interpretations, the extent of the impact has not been determined by the management.

(iii) SLFRS 16 - Leases

SLFRS 16 - Leases eliminates the current dual accounting model for lessees which distinguishes between on - balance sheet finance leases and off - balance sheet operating leases. Instead there will be a single on balance sheet accounting model that is similar to the current finance lease accounting. The Company is assessing the potential impact on its Financial Statements resulting from the application of SLFRS 16. This standard is effective from 01st January 2019.

Pending the detailed review of such standards and interpretations, has yet to be made and the extent of the impact has not been determined by the management.

4.20 Changes In accounting Policies

The company decided to change its accounting policy for property, plant and equipment with respect to measurement after initial recognition. The company had previously measured all land and building using cost model. Where by after initial recognition the assets were carried at cost less accumulated depreciation and accumulated impairment.

On 31st March 2018 the management decided to change the method of accounting for land and building as the management believes that the fair value will reflect the correct financial position of the company and accordingly adjusted prospectively

	2017/2018 Rs.	2016/2017 Rs.
5. Revenue		
Manufacturing department	2,631,510,557	3,164,197,615
Services department	861,055,942	864,412,005
	<u>3,492,566,499</u>	<u>4,028,609,620</u>
6. Other Income		
Scrap and sundry parts sales	5,136,664	4,188,509
Transport and warehouse income	19,115,200	20,408,400
Interest income	17,097,399	13,110,777
Insurance claim	512,854	1,376,238
Interest on employee loan	733,227	492,844
Profit on disposal of motor vehicle	15,130,277	1,811,084
Exchange gain	12,236,348	18,955,393
Revenue grant	-	2,153,651
Registration fees income	25,000	32,000
Interest on over due payment	804	1,172
Rent income	1,635,000	1,080,000
Interest on REPO Investment	702,360	-
	<u>72,325,131</u>	<u>63,610,069</u>
7. Finance and Other Expenses		
Term loan interest	2,664,122	4,929,411
Bank charges and commission	1,354,172	1,330,573
Overdraft interest	1,982,417	965,758
Interest on import loan	54,817,192	71,893,160
Stamp duty	983,025	178,875
Interest on employee loan	236,783	-
Interest on vehicle loan	379,710	-
	<u>62,417,421</u>	<u>79,297,777</u>
8. Profit Before Tax		
Profit from operations is stated after charging all expenses including the followings :		
Directors remuneration	6,863,408	6,436,090
Depreciation and amortisation	66,481,647	72,383,181
Staff costs (excluding defined contribution plan and defined benefit plan)	409,170,250	410,940,568
Defined contribution plan cost	57,535,252	53,718,189
Defined benefit plan cost	20,014,301	21,258,011
Donations	65,523	675,988
Auditor's remuneration	1,040,651	864,803
Legal fees	620,268	95,514

Notes to Financial Statements

For the Year Ended 31st March 2018

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	2017/2018 Rs.	2016/2017 Rs.
9. Income Tax Expenses		
Income tax <i>(Note 9.1)</i>	47,662,932	31,224,081
Under provision of last year income tax	296,023	787,039
Deferred tax <i>(Note 25)</i>	278,858	(6,772,153)
	<u>48,237,812</u>	<u>25,238,967</u>

9.1 Reconciliation between current tax expense and the accounting profit.

A reconciliation between tax expense and the product of accounting profit multiplied by the statutory tax rate is as follows:

Profit from operation	91,938,583	80,639,354
Disallowable expenses	101,185,730	113,507,046
Profit on disposal of fixed assets	15,521,763	1,064,500
Allowable expenses	(161,433,100)	(152,252,460)
Deferred income	123,011,781	71,449,805
Revenue grant	-	(2,153,651)
	<u>170,224,756</u>	<u>112,254,594</u>
Qualifying payment	-	(740,021)
Taxable income	<u>170,224,756</u>	<u>111,514,573</u>
Income tax @ 28%	47,662,932	31,224,081
	<u>47,662,932</u>	<u>31,224,081</u>

10. Earnings Per Share - Basic/Diluted

Basic Earnings Per Share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	As at 31.03.2018	As at 31.03.2017
Amount used as the Numerator		
Profit attributable to ordinary shareholders	43,700,771	55,400,388
Amount used as the Denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings Per Share - Basic	<u>8.55</u>	<u>10.84</u>
11. Dividend Per share		
Dividend paid	3.00	3.00
Dividend proposed	2.00	3.00

12 Property, Plant and Equipment

Net book value of freehold assets (Note 12.1)

12.1 Freehold Assets

		31.03.2018		31.03.2017	
		Rs.		Rs.	
Property, Plant and Equipment					
Net book value of freehold assets <i>(Note 12.1)</i>					
Freehold Assets					
	As at	Additions	Disposals	Transfer of	Transfer to
	01.04.2017	during the year	during the year	Accumulated Dep	Investment
	Rs.	Rs.	Rs.	Rs.	Property
					Rs.

Net book value on freehold assets as at 31st March 2018

During the Year management has decided to transfer, one of the Land to investment property as their intention is to hold for capital appreciation and to earn rental income.

12. Property, Plant and Equipment (Cont'd....)

	As at 01.04.2016	Additions During the year	Disposals during the year	Transfer of Accumulated Dep	Transfer to Investment Property	Revaluation	As at 31.03.2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost							
Land and land development	187,482,980	26,850,185	-	-	-	-	214,333,165
Building	169,002,780	39,906,457	-	-	-	-	208,909,237
Plant and machinery	285,649,012	4,608,028	-	-	-	-	290,257,040
Furniture and fittings	17,042,596	1,037,841	-	-	-	-	18,080,437
Fixtures and fittings	13,833,106	1,115,368	-	-	-	-	14,948,474
Office equipment	19,718,341	345,735	(3,600)	-	-	-	20,060,476
Tools	39,826,231	4,997,683	-	-	-	-	44,823,914
Computer equipment	58,037,053	3,807,466	-	-	-	-	61,844,519
Motor vehicles	164,227,567	24,697,560	(3,462,973)	-	-	-	185,462,154
On loan asset	1,601,477	356,100	-	-	-	-	1,957,577
	956,421,143	107,722,423	(3,466,573)	-	-	-	1,060,676,993

	As at 01.04.2016	Depreciation During the year	Depreciation on disposals	Transfer of Accumulated Dep	Transfer to Investment property	On Revaluation	As at 31.03.2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation							
Building	46,378,568	4,273,671	-	-	-	-	50,652,239
Plant and machinery	154,267,790	22,018,108	-	-	-	-	176,285,898
Furniture and fittings	8,843,999	1,221,334	-	-	-	-	10,065,333
Fixtures and fittings	5,367,213	1,223,652	-	-	-	-	6,590,865
Office equipment	11,774,974	1,579,178	(1,500)	-	-	-	13,352,652
Tools	16,799,284	3,803,654	-	-	-	-	20,602,938
Computer equipment	48,322,418	4,571,189	-	-	-	-	52,893,607
Motor vehicles	91,614,024	33,296,679	(3,462,973)	-	-	-	121,447,730
On loan asset	171,411	390,443	-	-	-	-	561,854
	383,539,681	72,377,908	(3,464,473)	-	-	-	452,453,116
							608,223,877

Net book value on freehold assets as at 31st March 2017

12. Property, Plant and Equipment (Cont'd....)**Revaluation Land and Building**

Free hold land and building of the Entity was valued by Mr.K.D.Sirisena a professional valuer on 31st March 2018 and the excess of Rs.430,432,443 over the net book value as at 31st March 2018 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property, Plant & Equipment					
Property at Kandy	Perches 18.7	Sq. ft.5,081	1	31.03.2018	73,299,500
Land at Boralasgamuwa	Perches 83.1	-	-	31.03.2018	58,170,000
Property at Galle	Perches 13.24	Sq. ft.12,365	1	31.03.2018	77,789,000
Property at Negambo	Perches 31.1	Sq. ft.1,500	1	31.03.2018	38,320,000
Property at Colombo 06	Perches 41.12	Sq. ft.1,500	1	31.03.2018	308,720,000
Property at Rathmalana 1	Perches 83.41	Sq. ft.29,198	2	31.03.2018	185,600,000
Property at Rathmalana 2	Perches 11.80	Sq. ft.3,654	1	31.03.2018	17,300,000
					<u>759,198,500</u>
Investment Property					
Land at Panadura	Perches 44.8	-	-	31.03.2018	20,160,000
					<u>779,358,500</u>
Total					<u>779,358,500</u>

Fair value Hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

	Level 1 (Rs)	Level 2 (Rs)	Level 3 (Rs.)	Total (Rs.)
Land and Buildings	-	-	779,358,500	779,358,500

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of Land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and sq.ft	300,000/- per perch and per Sq.ft
Land at Panadura	Open market	Price per perch	450,000/- per perch
Land at Boralasgamuwa	Open market	Price per perch	700,000/- per perch
Property at Galle	Open market	Price per perch and sq.ft	2,700,000/- per perch and per Sq.ft
Property at Negambo	Open market	Price per perch and sq.ft	1,200,000/- per perch and per Sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	6,000,000/- per perch and per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,000,000/- per perch and 3,500 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,000,000/- per perch and 1500 per Sq.ft

12.2 Investment Property

	As at 31.03.2017 Rs.	Transferred from PPE During the year Rs.	As at 31.03.2018 Rs.
Revalued amount			
Land and land development	-	20,160,000	20,160,000
	-	20,160,000	20,160,000

Carrying value of land and land development before revaluation was Rs. 17,708,500/-

13. Intangible Assets

	As at 31.03.2017 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.03.2018 Rs.
Cost				
Computer Software	14,360,433	97,000	-	14,457,433
	14,360,433	97,000	-	14,457,433
Depreciation				
Computer Software	14,352,970	6,768	-	14,359,738
	14,352,970	6,768	-	14,359,738
Net book value on Intangible assets	7,463			97,695

14. Investment in subsidiary

Abans Jung Poong (Pvt) Ltd.
114,540 Shares of Rs.100/- each

31.03.2018 Rs.	31.03.2017 Rs.
11,454,000	11,454,000

Abans Jung Poong (Pvt) Ltd has ceased business operating in 1996/1997 . The board has taken the initiative to wind up the company under creditors voluntary winding up.

Abans Electricals PLC owns 49.2% of Jung Poong (Pvt) Ltd, which represent Rs. 14.58 Mn of the total market value (Rs.35.65 Mn) of Land and building. Consequently the company is certain that the full investment of Rs 11.454 Mn and the dues receivable, can be recovered.

15. Loans and receivables

Investments in Fixed Deposits

	31.03.2018 Rs.	31.03.2017 Rs.
Peoples Bank	5,000,000	5,000,000
Bank of Ceylon	55,826,150	50,760,644
Seylan Bank	632,212	592,503
Abans Finance PLC	53,691,476	47,958,867
Sampath Bank	35,157,371	31,812,305
Union Bank	20,260,068	-
	170,567,277	136,124,319

	31.03.2018 Rs.	31.03.2017 Rs.
16. Inventories		
Raw material	494,751,151	577,526,691
Work-in-progress	12,206,324	28,455,860
Finished goods		
- Manufactured	10,712,550	19,535,045
- Imported	165,041	917,669
Goods in transit	95,116,905	36,271,265
	612,951,972	662,706,531
Less: Provision for damaged and obsolete stock <i>(Note 16.1)</i>	(18,828,036)	(13,850,236)
	<u>594,123,935</u>	<u>648,856,296</u>
16.1 Movement for the provision for damaged and obsolete stocks ;		
Balance as at 1 st April 2017	13,850,236	14,974,569
Further provisions made	8,263,891	4,388,244
Provisions written back	(3,286,090)	(5,512,577)
Balance as at 31 st March 2018	<u>18,828,036</u>	<u>13,850,236</u>
17. Trade and Other Receivables		
<u>Financial assets</u>		
Trade debtors	142,936,633	145,604,521
Less: Allowance for impairment of debtors <i>(Note 17.1)</i>	(24,369,304)	(18,329,576)
	118,567,330	127,274,944
Loans to employees	16,012,870	3,192,277
	134,580,200	130,467,221
<u>Non financial assets</u>		
Other receivables	8,010,513	13,731,976
	<u>142,590,713</u>	<u>144,199,197</u>
17.1 Movement of the allowance for impairment of debtors ;		
Balance as at 1 st April 2017	18,329,576	16,164,111
Impairment loss recognized during the year	6,047,458	2,166,965
Reversal of previously recognized impairment loss	(7,730)	(1,500)
Balance as at 31 st March 2018	<u>24,369,304</u>	<u>18,329,576</u>

As at 31st March, the ageing analysis of trade receivables are, as follows ;

		Neither past due nor impaired		Past due but not impaired			
	Total Rs. '000	Rs. '000	0 - 30 days Rs. '000	30 - 60 days Rs. '000	60 - 90 days Rs. '000	90-120 days Rs. '000	Over 120 days Rs. '000
2018	142,936,633	(24,369,304)	39,028,527	31,003,232	31,522,187	9,841,350	31,438,573
2017	145,604,521	(18,329,576)	69,182,619	42,343,056	1,844,066	1,198,760	31,036,020

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables that are neither past due nor impaired.

Notes to Financial Statements

For the Year Ended 31st March 2018

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	31.03.2018 Rs.	31.03.2017 Rs.
18. Deposits, Advances and Prepayments		
Advances	21,577,854	11,074,882
Deposits	6,686,379	5,637,379
Prepayments	20,061,834	22,101,715
	<u>48,326,068</u>	<u>38,813,976</u>
19. Amounts Due From Related Parties		
Abans PLC	526,144,593	834,666,920
Abans Restaurant (Pvt) Ltd	59,979	46,179
Abans Environmental (Pvt) Ltd	2,751	26,031
Abans Jung poong (Pvt) Ltd	591,501	591,501
Abans Marketing (Pvt) Ltd	16,420,212	17,611,512
Abans Auto (Pvt) Ltd	22,162,365	7,205,489
Abans Tourist Hotel (Pvt) Ltd	-	1,848
Abans Automation (Pvt) Ltd	107,612	593,158
ABS Courier (Pvt) Ltd	473,723	350,510
Abans Resort (Pvt) Ltd	-	183,395
Abans Information Systems (Pvt) Ltd	63,717	59,718
	<u>566,026,454</u>	<u>861,336,262</u>
Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.		
20. Cash at bank and in hand		
Cash in Hand	1,608,557	1,845,236
Cash in Bank	71,999,838	29,389,238
	<u>73,608,395</u>	<u>31,234,475</u>
21. Stated Capital	Number of shares	Value of Shares (Rs.)
At 31 st March 2018	5,110,560	186,732,000
At 31 st March 2017	<u>5,110,560</u>	<u>186,732,000</u>
21.1 Revaluation Reserve		
Balance as at 1 st April 2017	-	-
Revaluation gain	430,432,443	-
DT on revaluation surplus	(120,521,084)	-
Balance as at 31 st March 2018	<u>309,911,359</u>	<u>-</u>
22. Borrowings		
22.1 Long Term Borrowings		
Term loan - long term portion (Note 22.3)	<u>2,693,825</u>	<u>10,500,000</u>
22.2 Short Term Borrowings		
Term loan - Short term portion (Note 22.3)	11,642,700	17,556,000
Import loans	381,868,878	662,950,998
Provision for interest	2,477,086	4,712,723
Bank overdraft (Note 22.4)	14,357,722	27,508,494
	<u>410,346,385</u>	<u>712,728,215</u>

	31.03.2018	31.03.2017
	Rs.	Rs.
22.3 Loans from Bank		
Term loan Samapth Bank	28,056,000	46,512,000
Loan grant	8,490,000	-
Payment made during the year	(22,209,475)	(18,456,000)
	14,336,525	28,056,000
Less : Repayable within one year	(11,642,700)	(17,556,000)
Repayable after one year	2,693,825	10,500,000
22.4 Bank Overdrafts		
Union Bank	-	5,205,639
Hatton National Bank	14,357,722	-
Sampath Bank	-	22,302,855
	14,357,722	27,508,494

Facility**Security**Import & Hypothecation loans

Peoples Bank	- Primary floating mortgage bond of Rs. 250 Mn over stock and book debts
HNB Bank	- Primary floating mortgage bond Rs.600 Mn over Stock of refrigerator cabinets & components .
Bank of Ceylon	- Hypothecation Bond of Rs. 80 Mn over Stock and Book Debts
Sampath Bank	- Primary floating mortgage bond of Rs. 350 Mn over stock and book debts.

Term Loan Facility

Lender: Sampath Bank	- Primary mortgage for Rs. 65 Mn over the moulds imported for washing machine assembly line
Lender: Sampath Bank	- Primary mortgage for Rs.21.5 Mn over the machinery parts imported for the AC Assembly line

Overdraft Facilities

HNB	- Primary floating mortgage bond for Rs. 60 Mn over land & building situated at No. 126, Airport Road, Ratmalana.
Sampath Bank	- Hypothecation bond of over stock and book debts
Bank of Ceylon	- Hypothecation bond of over stock and book debts
Peoples Bank	- Hypothecation bond of over stock and book debts
Union Bank	- Concurrent mortgage bong Rs 75 Mn over the company stock in trade & assignment of book debts

	31.03.2018 Rs.	31.03.2017 Rs.
23. Retirement Benefit Obligation		
Balance at the beginning of the year	79,241,653	101,890,133
Interest cost	10,301,415	10,698,464
Current service cost	9,712,886	10,559,548
Actuarial (gain) /loss	(1,007,848)	(30,856,622)
	98,248,106	92,291,522
Less : payments made during the year	(11,880,684)	(13,049,871)
Balance at the end of the year	86,367,422	79,241,652

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

Discount rate	10.00%	13.00%
Expected rate of salary increase	10.00%	12.00%
Retirement Age	55 & 60	55 & 60
The amounts recognised in the comprehensive income are as follows:		
Current service cost	9,712,886	10,559,548
Interest cost	10,301,415	10,698,464
The amount recognised in the other comprehensive income is as follows:		
Actuarial (Gain)/loss	(1,007,848)	(30,856,622)

Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation by the amounts shown below ;

+1% point increase on discount rate	83,373,359	71,586,074
-1% point increase on discount rate	89,591,197	88,274,254
+1% point increase on salary increment rate	89,842,518	88,633,965
-1% point increase on salary increment rate	83,085,123	71,166,971

	31.03.2018 Rs.	31.03.2017 Rs.
24. Revenue grant		
Balance at the beginning of the year	-	2,153,651
Grant recognised as income for the year	-	(2,153,651)
Balance at the end of the year	-	-

Company received a revenue grant of Rs.12,921,900 (Net of VAT and NBT) in December 2012 from LG Korea to display LG Logo in their bus for a period of five years. Hence the grant has been recognised in the income statement, over the contractual period of five years and it has completed in period of 2016 / 2017.

	31.03.2018 Rs.	31.03.2017 Rs.
25. Deferred Tax Liability		
Balance as at the beginning of the year	42,323,497	40,455,796
<i>Amount originated / (reversed) during the year</i>		
- Statement of profit or loss	278,858	(6,772,153)
- Statement of other comprehensive income	120,803,281	8,639,854
Balance as at the end of the year	163,405,636	42,323,497

Net deferred tax asset/Liability are attributed to the following as at the year end;

	Property, plant & equipment Rs	Retirement benefit obligation Rs	Total Rs
Temporary differences			
Balance as at 1st April 2016	68,985,034	(28,529,237)	40,455,797
Recognised in profit or loss	(4,473,874)	(2,298,279)	(6,772,153)
Recognised in other comprehensive income	-	8,639,854	8,639,854
Balance as at 1st April 2017	64,511,160	(22,187,662)	42,323,498
Recognised in profit or loss	2,556,271	(2,277,413)	278,858
Recognised in other comprehensive income	120,521,084	282,197	120,803,281
Balance as at 31st March 2018	187,588,515	(24,182,878)	163,405,636

	31.03.2018 Rs.	31.03.2017 Rs.
26. Trade and Other Payables		
Trade creditors	135,124,421	149,992,216
DA bills payable	108,996,515	247,994,615
Accrued charges	51,412,772	44,118,336
Prepaid employee benefit	1,817,203	-
Other payables	171,043,006	146,529,602
Provision	14,604,611	4,574,276
Rework claim	-	5,371,645
Import control	6,191,023	3,118,617
Advances from customers	3,646,591	5,718,612
	492,836,142	607,417,918
Non Financial Liability		
Excise duty payable	15,863,170	39,165,822
Nations building tax	1,423,660	577,659
Value added tax	471,028	5,782,201
	17,757,858	45,525,681
	510,594,000	652,943,599

	31.03.2018	31.03.2017
	Rs.	Rs.
27. Income Tax Payable		
Balance at the beginning of the year	5,270,077	24,528,197
Income tax for the year (Note 9.1)	47,662,932	31,224,081
Under provision adjustment	296,023	787,039
	<u>53,229,032</u>	<u>56,539,317</u>
Withholding Tax	(1,576,315)	(1,020,811)
Income tax paid	(5,489,741)	(34,299,321)
ESC paid	<u>(20,810,276)</u>	<u>(15,949,107)</u>
Balance at the end of the year	<u><u>25,352,700</u></u>	<u><u>5,270,077</u></u>

28. Deferred Service Income

Deferred Service Income consists of the income received in - advance for under - warranty items and will be releasing to income statement as revenue, when jobs are completed.

	31.03.2018	31.03.2017
	Rs.	Rs.
29. Amounts Due To Related Parties		
AB Transport (Pvt) Ltd	-	21,423
Abans Retail (Pvt) Ltd	98,790,303	37,127,560
AB Securitas (Pvt) Ltd	4,515,733	5,527,568
Crown City Developers (Pvt) Ltd	3,679,847	9,798,841
Abans Graphics (Pvt) Ltd	102,707	1,357,834
Sirius Technologies Services (Pvt) Ltd	276,493	133,438
Abans Engineering (Pvt) Ltd	20,076,696	15,557,492
AB Logistics (Pvt) Ltd	6,644	6,644
Abans Logistics (Pvt) Ltd	3,669,450	5,302,584
ABS Gardiner Dixon Hall (Pvt) Ltd	576,630	10,345,596
Add Outdoor Advertising (Pvt) Ltd	<u>333,784</u>	<u>153,879</u>
	<u><u>132,028,288</u></u>	<u><u>85,332,858</u></u>

Due to related parties balances are payable on demand and carry no interest ,also does not hold any collatural

30. Related Party Disclosures

Company	Relationship	Nature of Transaction	2017/2018 received/ (paid) Rs.
Abans PLC	Parent	Sales of Goods/Services	3,239,003,939
		Reimbursement of Warehouse Expenses	14,081,632
		Wharf Expenses	(17,982,269)
		Other Purchases	(7,595,879)
Abans Retail (Pvt) Ltd	Affiliate	Sales of Goods/Services	7,788,597
Abans Retail Channel	Affiliate	Sales of Goods/Services	232,846,093
Abans Retail Channel -JVC	Affiliate	Sales of Goods/Services	49,348,286
Abans Marketing (Pvt) Ltd	Affiliate	Rent Expenses	(3,000,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic Expense	(38,550,253)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases	(30,048,765)
		Sales of Goods/Services	9,384,617
		Re-imbursement of utility bills	7,402,813
		Sub-contract	(836,773)
AB Transport (Pvt) Ltd	Affiliate	Freight Expenses	(11,288,668)
ABS Courier	Affiliate	Rent income	1,275,000
		Courier charges	411,224
Abans Finance PLC	Affiliate	Fixed deposit	6,333,363
AB Securitas	Affiliate	Security Charges	(17,754,982)
Abans Environmental	Affiliate	Cleaning charges	(1,031,739)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenace	(925,554)
		Land & Building disposal	57,030,000

The balance outstanding as at the reporting date disclosed under note no. 19 & 29.

31 Transactions with Key Management Personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the board of directors of the company.

	2017/2018 Rs.	2016/2017 Rs.
Post employee benefits	1,345,876	481,650
Short term employee benefits	9,130,506	3,211,000

32. Commitments

There are no material commitments outstanding as at the financial position date other than those disclosed below:-

Nature of the liability

Case No

Case by Nishantha Manamperi against Abans Electricals (PLC) - As at 31st March 2018 , DC/02109/2013/(MR)
the case stood fixed for further trial has been fixed to be resumed on 07th May 2018.

33. Events Ater the Reporting Period

There were no material events after the reporting period, which require adjustments to or disclosure in the Financial Statements.

On 23rd July 2018 the management has declared a payment of final dividend of Rs.2.00 per share for the year 2017/18

34. Contingent Liabilities

There were no Contingent Liabilities as at the end of the reporting date other than guarantees given for loans.

35. Business Segment Information

The company comprises the following two business segments.

Segment

Products & Services

Manufacturing Dpt Manufacture and sale of washing machines, refrigerators, cookers and freezers, providing AC installation and providing after sale services.

Service Dpt Installation, repair and maintenance, including all after sales services, of electrical & household appliances sold by Abans Limited.

Segmentation analysis is as bellows ;

Business Segment	2017/2018			2016/2017		
	Manufacturing	Services	Total	Manufacturing	Services	Total
<u>Turnover & Results</u>						
Revenue	2,631,510,557	861,055,942	3,492,566,499	3,164,197,615	864,412,005	4,028,609,620
Profit/ (loss) for the year before taxation	28,728,587	63,209,996	91,938,583	13,084,721	67,554,633	80,639,354
<u>Operating Assets & Liabilities</u>						
Segmental assets	1,436,082,120	1,156,620,814	2,592,702,934	1,681,606,105	798,643,760	2,480,249,865
Segmental liabilities	1,058,539,260	355,187,272	1,413,726,532	1,323,947,644	316,043,618	1,639,991,263
<u>Other Information</u>						
Capital expenditure	25,794,708	57,917,878	83,712,586	33,071,099	74,651,325	107,722,424
Depreciation and Amortization	47,020,683	19,460,964	66,481,647	50,233,898	22,149,282	72,383,181
Provision for retirement benefit obligation	7,375,226	11,631,228	19,006,453	(4,512,838)	(5,085,773)	(9,598,611)

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

36. Financial Risk Management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for short term borrowings and there by interest rate risk can be reduced. Long term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The DA (Documents against Acceptance) bills shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk) credit risk and liquidity risk.

1). Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Foreign currency risk

The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

As explained above, the company exposed to foreign currency risk mainly from DA bills.

Sensitivity Analysis of the Exchange Rate Risk on DA Bills

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 st March 2018	Exchange rate increase in Rs. 1/-	Exchange rate increase in Rs. 2/-	Exchange rate increase in Rs. 3/-	Exchange rate increase in Rs. 4/-
31 st March 2018	582,143	Dollars	157.49	91,681,701	92,263,844	92,845,987	93,428,130	94,010,273
31 st March 2017	1,529,068	Dollars	153.91	235,338,856	236,867,924	238,396,992	239,926,060	241,455,128

Potential Loss compared to 31 st March 2018	582,143	1,164,286	1,746,429	2,328,572
% of loss	0.63%	1.27%	1.90%	2.54%

Potential Loss compared to 31 st March 2017	1,529,068	3,058,136	4,587,204	6,116,272
% of loss	0.65%	1.30%	1.95%	2.60%

31 st March 2018	90,665	Euros	195.17	17,695,088	17,785,753	17,876,418	17,967,083	18,057,748
31 st March 2017	76,502	Euros	165.43	12,655,726	12,732,228	12,808,730	12,885,232	12,961,734

Loss compared to 31 st March 2018	90,665	181,330	271,995	362,660
% of loss	0.51%	1.02%	1.54%	2.05%

Loss compared to 31 st March 2017	76,502	153,004	229,506	306,008
% of loss	0.60%	1.21%	1.81%	2.42%

36. Financial Risk Management (Cont'd.....)**b) Interest rate risk**

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprise in a given period.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movement in basis points	Effect on profit and equity	
	2017/2018 Rs.	2016/2017 Rs.
<u>+/- 50</u>	(1,212,365)	(2,935,519)
<u>+/- 50</u>	1,212,365	2,935,519

c) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

2) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counterparties, and continually assessing the creditworthiness.

Company maintains bank accounts, Deposits with highly reputed financial institutions/Banks. Also its most of the receivables are, related parties within Abans Group counterparties.

Credit Risk Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the Reporting date was :

	Gross exposure		Net exposure	
	As at 31.03.18	As at 31.03.17	As at 31.03.18	As at 31.03.17
Cash at bank	71,999,838	29,389,238	71,999,838	29,389,238
Amounts due from related parties	566,026,454	861,336,262	566,026,454	861,336,261
Trade and other receivables	158,949,504	148,796,798	134,580,200	130,467,221
Loans and receivables	170,567,277	136,124,319	170,567,277	136,124,319

3) Liquidity risk

Liquidity risk is the risk that the Company will be unable to meet its liabilities when they fall due.

To limit this risk, management has arranged diversified funding sources, manages assets with liquidity in mind, and monitors liquidity on a daily basis.

The table below analyses the Company's non-derivative current liabilities based on the remaining period at the reporting date to the contractual maturity date.

Current liabilities as at	Less than 3 months (Rs.)	3 - 6 months (Rs.)	6 - 12 months (Rs.)	Total (Rs.)
31 st March 2018	742,725,010	291,536,517	126,998,123	1,161,259,650
31 st March 2017	1,011,994,432	414,105,899	81,825,782	1,507,926,114

37. Summary of Financial Assets and Liabilities

Summary of the financial assets and financial liabilities with the measurement type is as bellows ;

	Measured at fair value	Carried at cost	Amortised cost	Total
31st March 2018				
Financial assets:				
Cash and bank balances	-	71,999,838	-	71,999,838
Amounts due from related parties	-	566,026,454	-	566,026,454
Trade and other receivables	-	-	134,580,200	134,580,200
Loans and receivables	-	-	170,567,277	170,567,277
Financial liabilities:				
Borrowings	-	-	413,040,210	413,040,210
Amounts due to related parties	-	132,028,288	-	132,028,288
Income Tax Payable	-	25,352,700	-	25,352,700
Trade and other payables	-	492,836,142	-	492,836,142
31st March 2017				
Financial assets:				
Cash and bank balances	-	29,389,238	-	29,389,238
Amounts due from related parties	-	861,336,262	-	861,336,262
Trade and other receivables	-	-	130,467,221	130,467,221
Loans and receivables	-	-	136,124,319	136,124,319
Financial liabilities:				
Borrowings	-	-	723,228,215	723,228,215
Amounts due to related parties	-	85,332,858	-	85,332,858
Income Tax Payable	-	5,270,077	-	5,270,077
Trade and other payables	-	607,417,918	-	607,417,918

Enterprise Risk Management (ERM) is the process of understanding and managing the risks that are faced by an entity in the path of achieving its objectives. It is essential to identify the risks at its initial stage because some risks are more catastrophes while some risks are manageable. Risk management is an ongoing process.

Change is a constant that all business deal with and company has sent in place a formal process and allocated resources to identify, measure, monitor and manage risks that may impact the performance of the company in the short, medium and long term. Risk Management Process provides vital information to support strategic planning and decision making on various matters set before the Board. The Board of Directors holds the ultimate responsibility for ensuring that risks are identified and managed appropriately whilst complying with regulatory requirements and are supported by the Audit Committee in this regard. Apart from that, the internal controls are established to ensure that the company policies are properly adhered when implementing the risk management process.

The risk management policy is approved by the Board and is updated and reviewed regularly to reflect changes in economic and market conditions and details the processes, procedures and guidelines in place to identify and monitor and mitigate the Company's risk exposures. Regular training and awareness programmes nurtures a risk culture within the organization by facilitating a clear understanding among employees of their roles and responsibilities in relation to risk management which varies from understanding of complex business risks at senior management level to an understanding of health and safety aspects at factory level.

The risks that the Company is exposed to and the mitigating actions that are in place are detailed below.

- **Economic Risk**

That means the potential loss of earnings arising from changes in macro - economic conditions including inflationary pressures, personal disposable income and exchange rate movements. We mitigate the same by regular monitoring of economic indicators and changes in consumer spending patterns which form an important input in determining the product range and Sales Plan for the year. Continuous focus on process efficiencies and productivity improvements is in place to mitigate increases in input costs.

- **Peoples Risk**

This includes the potential losses arising from human resource related aspects such as employee activity, lack of suitable human resources and noncompliance with employee related requirements. High caliber staff involved in operations ensures the smooth operations with the standards. The Disaster Recovery Plan has been properly introduced to improve from small to larger expected risk. Frequent engagement with employees, prompt responses to employee grievances as well as complaints & attractive

financial and non- financial remuneration are the risk mitigating actions taken by us.

- **Reputation Risk**

Being an Electrical and Electronic Home Appliance Manufacture, the long term vision of the organization mainly focuses on the local value addition for our target markets and always serves customers at their door step to attract and retain customer for life. The maintenance of positive attitude towards our Stakeholders causes to lift the image at highest level. Proper identification of customer requirement, on time delivery, after sales services and resistant to other internal and external environmental changes help to adopt the organization to a comfortable business environment. Strict quality control measures and quality certification (ISO 9001 : 2008) is one of the risk mitigation actions and the comprehensive evaluation of customer feedback for further improvements. The consistent monitoring of environmental impact of our production process and end product are other risk mitigating actions that are being currently implemented. The improved production of domestic food supplies resulted in declining inflation favorably supported for the consumption on our products. As such we have reaped the utmost by way of our products and services accumulating gradual positive contributions to the customer satisfaction and loyalty. There are no apparent or foreseeable dangers to the corporate image to report during the period. The success in many different projects and expanding our products to local value addition drew much attention in this year. The positive fiscal & economic policies towards the local value addition have created potential competitive markets for our products.

- **Supplier Risk**

That means the potential losses arising from procurement related issues including disruptions to supply and procurement of inferior quality raw material for production. We have developed relationships with diverse pool of international & local suppliers thereby limiting our concentration risk in order to minimize the potential losses arising from procurement related issues including disruptions to supply and procurement of inferior quality raw material for production.

- **Asset Risk**

That consists of potential damages to the physical of the Company through destruction, loss, theft and / or possible technical defects. The defined procedures and highest safety standards are in place to control technical and other defects as a risk mitigating action. Frequent fire drills and fire training to staff as well as adequate provisions have been embedded for the health and safety in operations.

- **Financial Risk**

The brief discussion of Financial Risk management has been given under Note No. 36 of the notes to the Financial Statement.

- **Legal Liability and Regulatory Compliance**

As a key factor to the corporate governance, the regulatory compliance is always being adhered. The regulatory compliances are widely spread within the organization, cross functional as well as at different levels. But, the majority lies within the operational level and proper positioning of the professionally competent and knowledgeable staff ensure its compliance. We are always proactive for potential deficiencies and setup compliance process to eliminate the possible threats. There were no major material legal liability or regulatory non compliances during the reporting period and company exposure to risk is at very low level.

Vision of any organization is to achieve continuous growth while maintaining long term existence and eluded treats and weaknesses are imperative. Thus the predictions on forthcoming opportunities, strengths, treats and weaknesses are based on past, present and forecasted future events of economic, political, social and technological environment. Sustainable growth and value creation, adequate returns corresponding to the risk undertaken and strong corporate governance are the primary needs of Shareholders. Understanding the needs of our Stakeholders are vital in setting our strategic directions and adding value to the Stakeholders. Thus, continuous and productive stakeholders' engagement has always been a priority for the Company. The Company maintains thoughts with all Stakeholders through formal and informal mechanisms. The Company applies a precautionary principle when determining the balance between operational expansion and social and environmental sustainability.

In order to provide better service to our Customer's whist building relationships, we have started new Service Centers Island wide to rectify breakdowns. And also comprehensive tests are conducted during and post production in order to ensure the quality and safety of all our products. Further, user manuals are provided with all products by informing the properties of the products and their conditions of use whist instructions for usage are also given by the Sales Representative in the retail channels warning and safety labels are displayed where applicable.

We are focusing on engaging employees and creating a dynamic, team oriented workforce. Our HR policies also cover areas related to people management from recruitment, succession planning, performance appraisal, training and development, compensation and benefits, labour relations and grievance handling. Relevant training and awareness programmes are also regularly carried out for employees to ensure that they understand all safety measures in place and use the required safety equipment. The Company also uses safe machines for our manufacturing processes and if required and where possible machines are modified to improve and ensure the safety of our employees.

We intended to improve our value addition to our Suppliers by supporting their social and environmental sustainability. Our Suppliers play a critical role in our sustainability and value creation process. The products that we manufacture require a wide range of inputs material, where quality and timely supply is crucial to ensure smooth function of operations in a very competitive market. It is imperative that we constantly engage with our Suppliers both foreign and local. The success of these efforts is evident in the number and diversity of Suppliers that we trade and the endurance of these long standing relationships.

As a responsible and environmentally conscientious manufacturer, it is our duty to reduce the energy used to manufacture these products and also ensure that our products use less energy to operate. Towards this aim, we introduced the R600a hydrocarbon based refrigerant

gas in our products which allowed the reduction of energy consumption by approximately 40% and we focus on improving our environmental performance, making substantial gains in energy efficiency, waste reduction, waste management and emission control.

Abans Electricals PLC has a policy in place for the assessment, grading and performance monitoring of Suppliers. We also conduct annual audits for Suppliers products & go through a quality approval at least before being utilized in the manufacture of the company products.

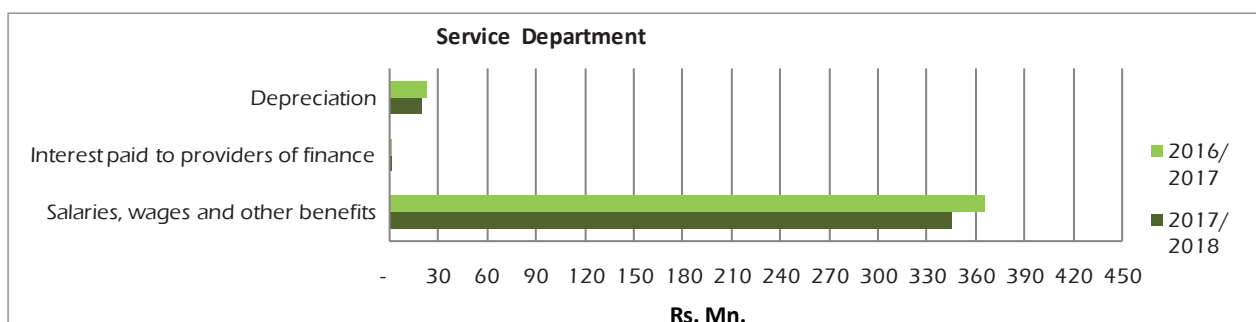
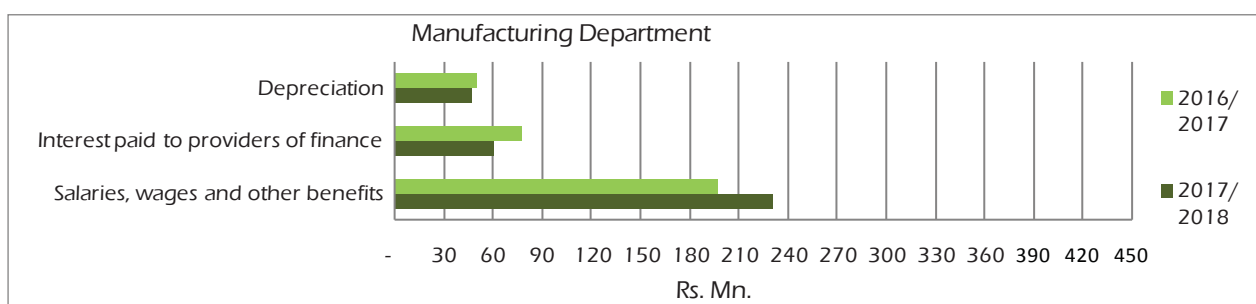
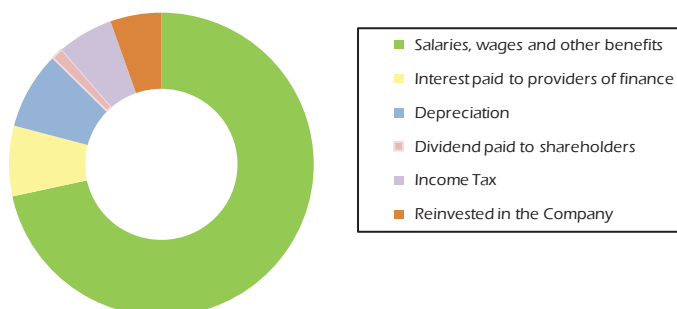
The strong relationship with Financial Institutions and our integrity in financial transactions have established stronghold in long term, when need arose for finance without deny. Further, the company financial statements present the strength of our wealth and stable financial position. In addition, strong supplier base with lengthy credit terms ease additional burdens on finance cost.

The opportunity to extend the operations thrives the Company to different future directions aligned with the vision and our continuous review to bring value addition with vertical integration will definitely assure the continuity of the Company.

Value Added Statement

Rs '000

	2017/2018		2016/2017		2017/2018	2016/2017
	Manufacturing	Service	Manufacturing	Service	Company	Company
Value Created						
Turnover	2,631,511	861,056	3,164,198	864,412	3,492,566	4,028,610
Add : Other Income	49,555	22,770	43,513	20,095	72,325	63,608
Less: Cost of Materials & Services					2,760,954	3,276,288
					803,937	815,929
Value Distributed						
Salaries, wages and other benefits	230,838	344,952	197,662	366,140	575,791	563,802
Interest paid to providers of finance	60,009	71	77,200	588	60,080	77,788
Depreciation	47,021	19,461	50,234	22,149	66,482	72,383
	337,868	364,485	325,097	388,877		
Dividend paid to shareholders					10,221	15,332
Income Tax					47,663	31,224
Reinvested in the Company					43,701	55,400
					803,937	815,929



Ten Year Summary

SUMMARY OF INCOME STATEMENTS

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
	SLAS			SLFRS						
Turnover	2,069,059	2,419,975	3,785,305	2,546,450	2,892,338	3,205,812	2,731,611	3,506,809	4,028,610	3,492,566
Profit Before Interest & Taxation	96,747	205,643	298,995	129,490	244,865	194,703	131,116	180,957	159,937	154,356
Interest	(115,242)	(106,728)	(108,271)	(40,053)	(68,477)	(87,785)	(31,116)	(40,609)	(79,298)	(62,417)
Profit Before Taxation	(18,495)	98,915	190,724	89,437	176,388	106,918	100,000	140,348	80,639	91,938
Taxation	(9,597)	(31,353)	(73,736)	(27,046)	(48,086)	(6,593)	(6,256)	(41,525)	(25,239)	(48,238)
Other Comprehensive income				5,784	1,303	(6,053)	(5,314)	(513)	22,217	310,637
Profit After Taxation	(28,092)	67,562	116,988	68,175	129,605	94,272	88,430	98,310	77,617	354,338

SUMMARY OF BALANCE SHEET

	SLAS		SLFRS							
Non Current Assets	243,887	237,133	253,467	257,756	441,422	555,372	625,622	704,255	755,810	1,168,316
Current Assets	955,327	1,293,814	1,119,163	951,146	1,547,035	1,005,221	995,235	1,313,034	1,724,440	1,424,676
Total Assets	1,199,214	1,530,947	1,372,630	1,208,902	1,988,457	1,560,593	1,620,857	2,017,289	2,480,250	2,592,991
Share Holders' Funds	152,617	220,179	370,310	429,967	551,055	636,810	692,439	777,973	840,259	1,179,264
Non Current Liabilities	215,425	185,126	47,209	43,189	81,659	151,527	171,454	172,555	132,065	252,467
Current Liabilities	831,172	1,125,642	955,111	735,746	1,355,743	772,256	756,964	1,066,761	1,507,926	1,161,260
Total Equity & Liabilities	1,199,214	1,530,947	1,372,630	1,208,902	1,988,457	1,560,593	1,620,857	2,017,289	2,480,250	2,592,991
No of Shares (In' 000)	2,129.40	2,129.40	4,258.80	4,258.80	5,110.56	5,110.56	5,110.56	5,110.56	5,110.56	5,110.56

Ratios and Other Analysis	Units	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Dividend per Share	Rs.	-	3.40	2.00	2.00	2.00	2.50	2.50	3.00	3.00	2.00
Dividend Growth Rate		-	-	(41.18%)	-	-	25.00%	-	20.00%	0.00%	(33.33%)
Dividend Cover	Times	-	9.33	13.74	7.33	12.56	7.85	7.34	6.45	3.05	4.25
Earnings per Share	Rs.	(13.19%)	31.73	27.47	14.65	25.11	19.63	18.34	19.34	10.84	8.55
Earnings Growth Rate		(479.02%)	(340.56%)	(13.2)%	(46.67%)	71.37%	(21.82%)	(6.57%)	5.42%	(43.95%)	(20.83%)
Return on Share Holder's Funds		(18.41%)	30.69%	31.59%	14.51%	23.28%	15.75%	13.54%	12.70%	5.56%	3.71%
Net Value per Share	Rs.	71.67	103.40	86.95	100.96	107.83	124.61	135.49	152.23	164.42	230.75
Market Value per Share	Rs.	64.00	144.75	258.10	158.00	89.60	99.20	105.70	111.10	88.20	84.30
Price Earnings Ratio	Times	(485.14)	4.56	9.40	10.78	3.57	5.05	5.76	5.74	8.17	9.86
Current Ratio	Times	1.15	1.15	1.17	1.29	1.14	1.30	1.31	1.23	1.14	1.23
Interest Cover	Times	0.84	1.93	2.76	3.23	3.58	2.22	4.21	4.46	2.02	2.47

GENERAL

Stated Capital	Rs. 186,732,000
No. of Shares	5,110,560
Voting Rights	One vote per Ordinary Share

STOCK EXCHANGE LISTING

This issued shares of the Company are listed with the Colombo Stock Exchange.

MARKET VALUE

The transacted values of an Ordinary Share of Abans Electricals PLC are as follows;

	2018 Rs.	2017 Rs.
Highest Price	111.90	139.80
Lowest Price	84.30	85.10
As at Balance Sheet Date	84.30	88.20

MARKET CAPITALISATION VALUE

The market capitalisation value of the Company as at 31st March 2018 is Rs. 430,820,208.00 (Rs. 450,751,392/- , 2017)

DISTRIBUTION OF EQUITY AS AT 31ST MARCH 2018

Holdings	No. of Holders	No. of Holders %	Total Holding	Total Holdings %
1-1,000 shares	1,234	84.23	194,281	3.80
1,001-10,000 shares	186	12.70	515,529	10.09
10,001-100,000 shares	39	2.66	993,186	19.43
100,001-1,000,000 shares	5	0.34	1,212,385	23.72
Over 1,000,000 shares	1	0.07	2,195,179	42.95
Grand Total	1,465	100.00	5,110,560	100.00

COMPOSITION OF SHAREHOLDINGS AS AT 31ST MARCH 2018

Category	No. of Holders	No of Shareholders %	Total Holding	Total Holding %
Individual	1,373	93.72	2,317,886	45.35
Institutional	92	6.28	2,792,674	54.65
Total	1,465	100.00	5,110,560	100.00

ANALYSIS OF SHAREHOLDERS AS AT 31ST MARCH 2018

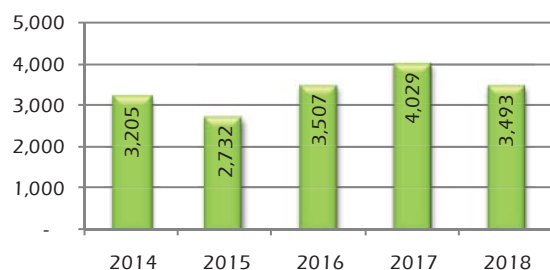
Category	No. of Shareholders	No. of Shareholders %	Total Holding	Total Holding %
Resident	1,448	98.84	4,911,174	96.10
Non-Resident	17	1.16	199,386	3.90
Total	1,465	100.00	5,110,560	100.00

Public Shareholding percentage as at 31st March 2018 was 47.19%

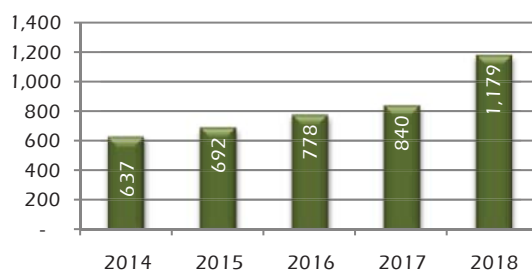
TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

	As at 31.03.2018	Percentage
M/s. Abans PLC	2,195,179	42.95
Mrs. S. Dubash	295,820	5.79
Mrs. A. Pestonjee	293,438	5.74
Mr. R Pestonjee	226,872	4.44
Mr. P. N. Pestonjee	199,952	3.91
Bank of Ceylon No. 1 Account	196,303	3.84
Mr. A. J. M. Jinadasa	93,000	1.82
Dr. K. Poologasundram	72,076	1.41
Dr. S. Yaddehige	50,000	0.98
Seylan Bank PLC/ MR C N Rajahmoney	46,039	0.90
Mr. G. C. Goonetilleke	44,000	0.86
Mrs. B. S. Rasanayagam	43,680	0.85
Mr. N. R. Selvadurai	40,000	0.78
Mr. A. J. Dubash	38,808	0.76
Union Bank of Colombo PLC /Mr.Sithampalam Abishek	33,017	0.65
M/s Tranz Dominion, L L C	31,611	0.62
Colombo Trust Finance PLC / Mrs F F Hanifa	290,902	5.69
Mr. S. S. Sithambaranathan	24,190	0.47
Mr T. Liyanage	23,868	0.47
Mr. A. C. N. De Alwis	23,644	0.46
Others	848,161	16.60
Total	5,110,560	100.00

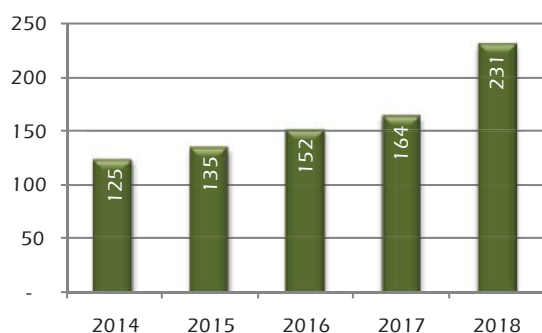
Turnover (Rs.Mn)



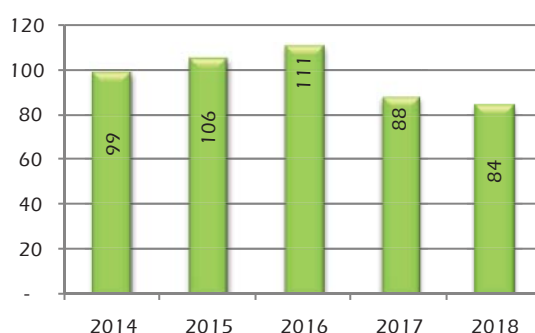
Shareholder's Funds (Rs.Mn)



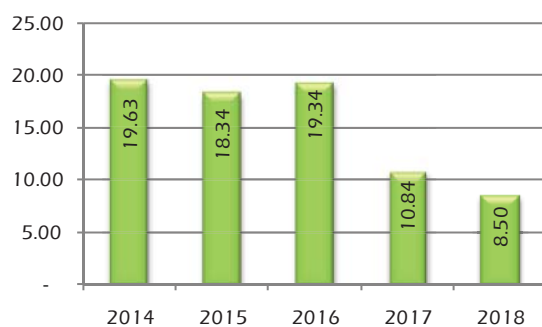
Net Assets per Share (Rs.)



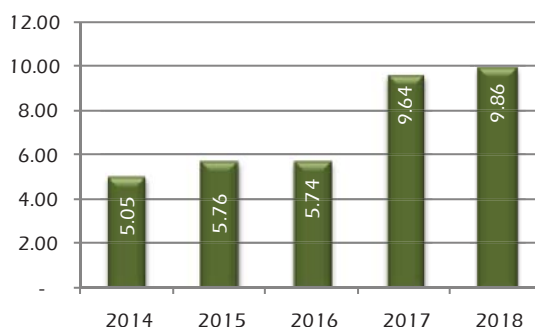
Market Value per Share (Rs.)



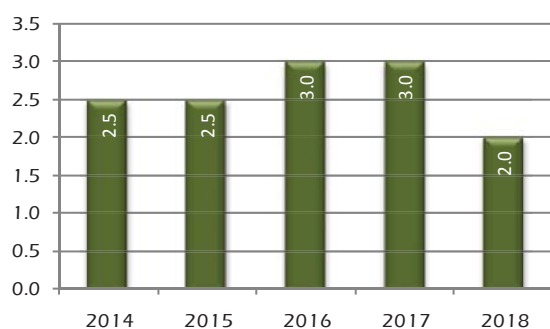
Earnings per Share (Rs.)



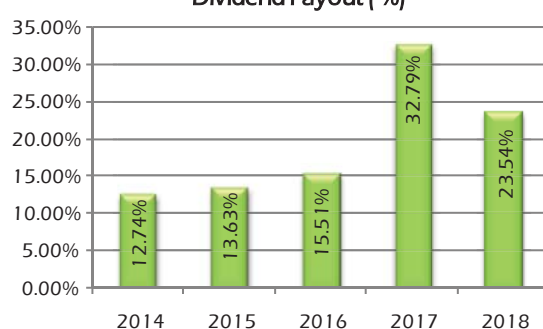
Price Earning Ratio (Times)



Dividend per Share (Rs.)



Dividend Payout (%)



Notice is hereby given that the THIRTY SIXTH ANNUAL GENERAL MEETING of the Company will be held at CA Sri Lanka Level 6 on 20th September 2018., at 3.30pm for the following purposes.

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2018 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs.2.00 per share for the year ended 31st March 2018 as recommended by the Directors.
3. To re-elect Mrs. Dayangani Priyanthi Pieris, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mrs. Dayangani Priyanthi Pieris, as a Director of the Company.
4. To re-elect Mr. Behman Pestonjee, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Behman Pestonjee as a Director of the Company.
5. To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva as a Director of the Company.
6. To re-elect Mr. Dinal Mario Rex Phillips, a Director of the Company who retires by rotation in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Dinal Mario Rex Phillips as a Director of the Company.
7. To re-elect Mrs. Aban Pestonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act (Refer to Note 1 below in Page No.56).

The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
8. To re-appoint M/S SJMS Associates, auditors and to authorize the Directors to determine their remuneration.

By order of the Board
Sgd.
Varners International (Private) Limited
Secretaries
Colombo.

01st August 2018

Notes;

1. A Notice was received from a shareholder of the Company giving notice of the intention to move the following as Ordinary Resolution at the forth coming Annual General Meeting of the Company with regard to the re-election of Mrs. Aban Pestonjee who retires at the Above General Meeting.

“RESOLVED that Mrs Aban Pestonjee who is over seventy years of age be and is hereby re-elected as a Director of the Company and it is further specifically declared that the age limit of seventy years referred to in the section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mrs. Aban Pestonjee”
2. A member entitled to attend and vote at the meeting, is entitled to appoint a proxy to attend and vote on behalf of his/her and Form of Proxy is attach (page 58) to this Report for this purpose. A Proxy need not to be a member of the Company.
3. The instrument appointing a proxy is required to be deposited at the Registered Office of the Company at No.498, Galle Road, Colombo 03 or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01 not less than forty eight hours before the time fixed for the meeting.
4. A Form of Attendance is included in this report. Shareholders are requested to complete it and hand it over when attending the meeting.
5. For reasons of security, it is essential that you bring with you, your National Identity Card.

Form of Attendance

I / We* hereby record my / our* presence at the THIRTY - SIXTH ANNUAL GENERAL MEETING of Abans Electricals PLC on 20th September 2018 at 3.30 p.m. at Level 6, CA Sri Lanka, 30 A, Malalasekara Mw., Colombo 07.

(1) Full Name of Shareholder					
(2) Share Certificate Number					
(3) National Identity Card Number					
(4) Address					
(5) Name of Proxy holder (if applicable)					
(6) National Identity Card Number of Proxy holder					
(7) Address of Proxy holder					
(8) Number of Shares held		CDS		Non CDS	

* Please delete what is inapplicable

.....
Signature of Shareholder

.....
Date

- Note
- (i) Shareholders are requested to bring this Form of Attendance when attending the meeting and hand it over at the entrance to the meeting hall.
 - (ii) Shareholders appointing proxies (other than Directors of the Company) to attend the Meeting are requested to indicate the National Identity Card number of the Proxy holder on the Form of Proxy and request the Proxy holder to bring along his / her National Identity Card.

I/We *
..... being a shareholder / shareholders of Abans Electricals PLC., hereby appoint;

Mrs. Aban Pestonjee of Colombo or failing her

Behman Pestonjee of Colombo or failing him

Ms. Dayangani Priyanthi Pieris of Colombo or failing her

Athula Siriwardane of Colombo or failing him

Kumar De Silva of Colombo or failing him

Dinal Mario Rex Phillips of Colombo or failing him

..... of

(National Identity Card Number.....) as my/our proxy to represent me/us on my/our behalf at the Thirty Sixth Annual General Meeting of the Company to be held on and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this day of 2018

Signature

Witness

01. If you cannot attend the Annual General Meeting and would wish one of the Directors or any other person to represent you, kindly perfect the Form of Proxy by filling in legibly your full name and address signing in the space provided and filling in the date of signature.
02. If the Form of Proxy is signed by an attorney, the relative power of attorney should accompany the Form of Proxy for registration if such power of attorney has not already been registered with the Company.
03. A Limited Liability or Corporate Shareholder should execute this proxy under its common seal or by its authorized attorney.
04. The completed Form of Proxy should be deposited at the Company's office, No. 498, Galle Road, Colombo 03, or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, at least 48 hours before the time appointed for the holding of the Meeting.

Corporate Information

NAME OF THE COMPANY	Abans Electricals PLC.
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25 th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18 th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7 th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Mr. B. Pestonjee Mr. Athula Siriwardane Mrs. D. P. Pieris Mr. Kumar De Silva Mr. D. M. R. Phillips
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank
LAWYERS	Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
AUDITORS	SJMS Associates Chartered Accountants No.2, Castle Lane, Colombo 04.
SECRETARIES	Varners International (Pvt) Ltd Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
E-MAIL ADDRESS	fmael@abansgroup.com
TELEPHONE NO	011-2632721 / 011-4205024
FAX NO	011-2635157

ABANS ELECTRICALS PLC

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